Screening report *North Macedonia*
Cluster 5 Resources, Agriculture and Cohesion

Chapter 11 – Agriculture and rural development

Date of screening meetings:

Explanatory meeting: 2-5 December 2019, update on 17-18 July 2023

Bilateral meeting: 16-18 October 2023

Chapter 12 – Food Safety, Veterinary and Phytosanitary Policy

Date of screening meetings:

Explanatory meeting: 18- 22 February 2019, update on 19-20 July 2023

Bilateral meeting: 27 November – 1 December 2023

Chapter 13 – Fisheries and Aquaculture

Date of screening meetings:

Explanatory meeting: 12-13 June 2019, update on 18 July 2023

Bilateral meeting: 26-27 October 2023

Chapter 22 – Regional Policy and Coordination of Structural Instruments

Date of screening meetings:

Explanatory meeting: 5-6 February 2019

Bilateral meeting: 5-6 October 2023

Chapter 33 – Financial and Budgetary Provisions

Date of screening meetings:

Explanatory meeting: 27 September 2019, update on 20 July 2023

Bilateral meeting: 20 November 2023

PREAMBLE

After the first Intergovernmental Conference on accession negotiations with North Macedonia in July 2022, the Commission immediately launched the screening process.

The screening is based on the enhanced enlargement methodology, which was adopted in 2020 and organises the negotiating chapters in thematic clusters in order to inject dynamism into the negotiating process and to foster cross-fertilisation of efforts beyond individual chapters. These thematic clusters bring together the chapters / areas according to broader themes and will allow a stronger focus on core sectors. Within each individual cluster, screening is carried out through meetings on a chapter-by-chapter basis. The substance of those clusters and chapters, as set out in Annex II of the Negotiating Framework, mirror the requirements for membership stemming from the Copenhagen criteria.

This report provides an assessment of where North Macedonia stands in terms of alignment and capacity to apply the EU *acquis* in Cluster 5. Since the negotiating Framework also refers to the possibility of accelerated integration, thus where appropriate, North Macedonia has requested participation in certain areas already before accession. This report provides the Commission's opinion and answer to these requests.

Regional cooperation and good neighbourly relations remain essential elements of the Stabilisation and Association process.

It is important to continue the dialogue with civil society and other stakeholders, with the aim of ensuring the support of citizens for the EU accession process. North Macedonia is expected to strategically communicate the benefits and obligations of the accession process to its public.

A) INTRODUCTION

The enhanced enlargement methodology[1], as reflected in the Negotiating Framework with North Macedonia, puts the negotiating chapters of the EU *acquis* into clusters. The **Resources, agriculture and cohesion cluster** encompasses the legislation on agriculture and rural development, fisheries and aquaculture, food safety, veterinary and phytosanitary policy, as well as regional policy and coordination of structural instruments, and financial and budgetary provisions. This cluster includes five chapters of the EU *acquis*:

— Under Chapter 11, **agriculture and rural development** aiming to ensure food security, safeguard farmers' incomes, maintain vibrant rural areas, while helping to tackle climate change and environmental challenges.

— Under Chapter 12, **food safety, veterinary, and phytosanitary policies** aiming to ensure food and feed safety as well as an high level of consumer's interests protection. The chapter also covers animal health, welfare, and the safety of food of animal origin.

— Under Chapter 13, **fisheries and aquaculture** manages the Common Fisheries Policy aiming to ensure long-term sustainability for fisheries and aquaculture, the availability of food supplies and a fair standard of living for fisheries and aquaculture communities.

— Under Chapter 22, **regional policy and coordination of structural instruments** is the EU's main tool for reducing regional disparities and investing in sustainable and inclusive socio-economic growth. This requires appropriate administrative capacity on programme and project levels as well as the fulfilment of other EU *acquis* elements such as environmental or public procurement legislation.

— Under Chapter 33, **financial and budgetary provisions** govern the funding of the EU budget, requiring appropriate administrative capacity to adequately coordinate and manage its own resources.

The chapters under the **Resources, Agriculture and Cohesion** cluster should not be seen in isolation, as several have **commonalities and so interact with each other** to be mutually reinforcing. For example, **regional policy and coordination of structural instruments** is closely related to **Green agenda and sustainable connectivity** policies.

This **screening report is structured** according to the **respective areas and chapters** of the cluster. Each area/chapter starts with a short overview of the **main content of the EU *acquis* / European standards**. Each thematic area within a chapter then first summarises the **country's presentations followed by the outcome of the expert discussions** of the bilateral screening meeting, ended with the **Commission's assessment**.

In the last **section**, based on its findings the Commission draws **recommendations for the next steps in the accession negotiations process related to the present Cluster.**

North Macedonia stated that it accepts the EU *acquis* in the chapters of Cluster 5. It reserved however the right to request for transitional arrangements in certain limited areas of the *acquis* in this Cluster at a later stage in the negotiations.

[1] COM(2020) 57 final

B) CHAPTER 11 – AGRICULTURE AND RURAL DEVELOPMENT

The *acquis* on agriculture and rural development covers a large number of binding rules, many of which are directly applicable. Their proper application and their effective enforcement by an efficient public administration are essential for the functioning of the common agricultural policy (CAP). This requires the setting up of a paying agency and management and control systems such as the integrated administration and control system (IACS), and the capacity to implement rural development actions. Member States must be able to apply EU legislation on direct support schemes and to implement the common market organisation for various agricultural products. The introduction of the CAP Strategic Plans for the implementation period 2023-2027 gives more flexibility to the Member States in adapting measures to local conditions while delivering on overall CAP objectives.

The implementation, management and control of the CAP require the creation, modification and/or reinforcement of appropriate administrative structures. In some cases, the *acquis* sets out detailed specifications for the required administrative structures. In others the *acquis* simply uses terms such as the "competent authority" to refer to the administrative structure that is needed. This means that it is left to each Member State to decide which institution is responsible for the effective implementation of the *acquis*. However, the functions that EU Member States must carry out - through the administrative structures they establish - are clearly specified in the *acquis*.

North Macedonia intends to align and implement the *acquis* by the date of accession and reserves the right to request any transitional periods. North Macedonia stated that it needs to further strengthen the administrative capacity to implement the *acquis* on agriculture and rural development. North Macedonia demonstrated clear knowledge of the *acquis* covered by this chapter, is fully aware of the challenges ahead to ensure full implementation of the *acquis* upon accession and reported that its new Law on agriculture and rural development under preparation aims for alignment with the current common agricultural policy. Its adoption is planned for 2025.

I. HORIZONTAL ISSUES

I.A. GENERAL ISSUES

a. Country presentation

In 2022, North Macedonia had 1.256 million hectares (ha) of agricultural land (arable land, vineyards, orchard, grassland) representing 49% of the total territory, with forestry making up a further 42%. Agriculture accounted for 13.7% of employment in 2019 and represented 7.2% of the country's GDP in 2022. There were 178 125 agricultural holdings in 2016. The average size of a holding was 1.8 ha. North Macedonia is characterised by small subsistence and family farming with low productivity farming occupying 85% of the agricultural land while larger agricultural companies average farm size of 197 ha, in total 15% of the agricultural land. North Macedonia is a net importer of food products.

Crop production prevails with 75% (2018), comprising cereals, industrial crops, forage crops, vegetables, potatoes, fruit, and wine. The high share results from the value of vegetable and production of perennial crops (fruits and wine grape). The larger agricultural companies specialise mainly in livestock breeding, cereals, and industrial crops, and therefore are concentrated in the grain producing regions Ovce Pole and Pelagonija. North Macedonia's production about matches consumption for sheep and pigmeat. The main export products are tobacco, wine and vegetables.

North Macedonia stated that its agricultural policy is based on the 2010 Law on Agriculture and Rural Development. This law sets out the objectives of agriculture policy and provides the general framework for the development of and support to agriculture and rural areas. The National Strategy for Agriculture and Rural Development 2021-2027 (NSARD) defines the national policy for improving agricultural competitiveness, economic sustainability and increased farms incomes, climate resilience, and development of rural areas. Its strategic goals are aligned with the strategic objectives of the EU

common agricultural policy 2021-2027. A national programme for the implementation of the strategy was adopted for the years 2023-2027. An agricultural census took place in 2007.North Macedonia stated that the overall responsibility for agricultural policy lies with the Ministry of Agriculture, Forestry and Water Economy (MAFWE).

b. Commission assessment

The Commission took note of North Macedonia's presentation on horizontal issues on agriculture and rural development.

I.B. FINANCING OF THE AGRICULTURAL EXPENDITURE

a. Country presentation

The agricultural policy of North Macedonia is financed from the annual state budget with the Agency for Financial Support in Agriculture and Rural Development, submitting an annual budget plan to the Ministry of Finance. For 2023 the agricultural budget amounted to approximately EUR 130 million, of which EUR 104 million was for direct support and some EUR 20 million for rural development. In 2022 and 2023 an intervention fund of around EUR 10 million (2022) and EUR 5 million (2023) was also set up to support farmers cope with the hardships due to COVID-19.

b. Commission assessment

Financing of North Macedonia's agricultural expenditure is **not aligned** with the EU *acquis*. The financing of agricultural expenditure in North Macedonia will have to be fully aligned to the EU *acquis* and the delivery model of the CAP.

I.C. AGRICULTURE SUPPORT SCHEMES

a. Country presentation

According to North Macedonia, direct support is based on the Law on agriculture and rural development of 2010, the National programme for the development of agriculture and rural development 2023-2027, the Annual programme for financial support in agriculture and the yearly Decree on criteria for direct payments. All direct payments are coupled to production. They are paid per hectare of farmed arable land and additional payments are granted e.g. for use of certified seeds, for selling field crops to processing facilities, for vegetable production and for fruit crop production. Coupled payments are paid for cows, sheep, goats, pigs, chicken and bees. Recipients of direct support need to respect some conditionality partially aligned with the *acquis* and include animal welfare, good agricultural practice and environmental protection. Additional payments are granted to young farmers, and organic production as a percentage increase to the basic direct payments. Payments coupled to production are paid for tobacco, milk, meat, and fruit and vegetables. Payments are also made linked to specific agricultural practices, such as using certified seeds or livestock insemination techniques and for honey laboratory analysis. The Agency for Financial Support in Agriculture and Rural Development determines whether all eligibility criteria for direct payments are met through an integrated administration and control system. North Macedonia indicated as future plans the alignment with the EU *acquis* and a new Law on agriculture and rural development.

b. Commission assessment

North Macedonia has a **low level** of alignment with the *acquis* on agriculture support schemes. The support measures, which are numerous, are coupled to production and subject to limited conditionality. The support measures need to be fully aligned with the EU *acquis*, decoupling them from production and fully introducing the system for area based payments. Under the CAP, voluntary coupled support is limited to certain sectors and types of production.

I.D. RURAL DEVELOPMENT SUPPORT

a. Country presentation

North Macedonia legislative framework on rural development consists of the Law on Agriculture and Rural Development (2010), the National Strategy for Agriculture and Rural Development 2021-2027, the National Programme for Agriculture and Rural Development 2021-2027 and the Programme for financial support of Rural Development. The main aims of the Strategy for Agriculture and Rural Development 2021-2027 are the improvement of the agri-food sector competitiveness and income, environmental protection and climate change mitigation and to ensure the sustainable development of rural areas. The actions are funded from the national budget, EU IPA and IPARD programmes and other donors' funds.

North Macedonia has been implementing programmes under the Instrument for Pre-Accession Assistance for Rural Development (IPARD) since 2009. The following measures are implemented - Investments in physical assets of agricultural holdings, Investments in physical assets concerning processing and marketing of agriculture and fishery products, Farm diversification and business development, and technical assistance.

b. Commission assessment

North Macedonia's policy on rural development is **partially aligned** with the EU *acquis*. It will need to be further harmonised in particular as regards the selection of support measures, programming, monitoring, controlling and evaluation capacities. The environmental and climate orientation of the policy should be strengthened in line with the EU objectives. The rural development expenditure will have to be adapted to the new delivery model of the CAP and the EU *acquis*.

I.E. MANAGEMENT AND MONITORING OF AGRICULTURE EXPENDITURE

a. Country presentation

The Agency for Financial Support in Agriculture and Rural Development (AFSARD) is the implementing body for national support schemes in agriculture and rural development. It is also entrusted with budget implementation tasks under the IPARD programmes. It is responsible for all elements of the Integrated Administrative and Control System (IACS), except the Land Parcel Identification System (LPIS) and the farmers' register. The IACS is used to implement payments to farmers. Procedures are certified according to the quality management system ISO 9001/2015. The AFSARD adopts an annual plan for the prevention of corruption. North Macedonia explained that it plans the full harmonisation of the AFSARD systems and procedures with the EU *acquis*.

b. Commission assessment

North Macedonia is **partially aligned** with the EU *acquis* in the area of management and monitoring of agriculture expenditure and in establishing the necessary administrative structures. The AFSARD has elements in place to ensure the quality of its work and prevent corruption. It will need to develop further to demonstrate its capacity to sustainably deliver on the future implementation of the CAP. Resources need to be ensured to improve and develop capacity building to respond to further harmonisation efforts of North Macedonia.

I.F. INTEGRATED ADMINISTRATION AND CONTROL SYSTEM (IACS)

a. Country presentation

North Macedonia has an Integrated Administration and Control System (IACS) in line with the *acquis*. The system has the following elements: Computerised database for the applications for direct payments, a Land Parcel Identification System (LPIS), a system for identification and registration of the right to direct payments, an animal identification and registration system, a system for applications for direct payment, a control and sanctions system and a system for checking agricultural holdings' identity as well as a register of purchasers of agricultural products. Area-based payments are determined based on

the registered parcels in the LPIS. North Macedonia informed that it plans an update for full alignment with the *acquis* involving improvements in the system for identification of beneficiaries, the geospatial aid application, LPIS and the identification and registration of animals register, and the establishment of an area monitoring system.

b. Commission assessment

North Macedonia **is partially aligned** with the *acquis* on IACS. Elements of the IACS are in place in line with the EU *acquis*. Work needs to continue towards developing other elements, including an animal register, an area monitoring system (AMS) and a geo-spatial aid application (GSA). Data transfers and the inter-operability of the various elements need to be improved.

I.G. FARM SUSTAINABILITY DATA NETWORK (FSDN)

a. Country presentation

A farm accountancy data network (FADN) is established and operational in North Macedonia. In 2023, the FADN sample included 949 farms; the quality of data is continuously being improved. A plan to ensure the expansion of the sample for data collection has been prepared. It is planned to increase the number of advisors for collecting data and to expand it to include data on environmental and social elements by 2028.

b. Commission assessment

North Macedonia **is partially aligned** with the *acquis* on FADN. Efforts must continue to increase the sample size making it more representative. Its sustainability and its further expansion, incorporating environmental, social, and economic sustainability data in line with EU *acquis* can only be ensured with additional human and financial resources.

I.H. STATE AIDS

a. Country presentation

North Macedonia indicated that State aid in agriculture is granted as additional support to the agricultural funding programmes - direct payments and rural development. North Macedonia indicated that it applies a number of aid schemes through the agricultural budget including for insurance premia, fuel purchase, investments in modernisation, compensation for natural disasters and for knowledge and advisory services. The Law on agriculture and rural development provides conditions for aid programmes. The registry mechanism for State aid has not been established yet. North Macedonia indicated these priorities for development: alignment with the EU *acquis*, setting up a notification of State aid system and a granted State aid register as well as administrative capacity strengthening.

b. Commission assessment

North Macedonia's State aid to agriculture and rural development is **partially aligned** with the EU *acquis* on State aid. The establishment of a registry mechanism is crucial to avoid over-compensation. State aid in agriculture and in rural areas should be aligned with and not duplicate the general State aid provisions. North Macedonia will need to bring all its aid measures in line with the *acquis* upon accession. *(See Cluster 2 Chapter 8 – Competition Policy for more detailed information)*

I.I. SUMMARY OF FINDINGS – HORIZONTAL MEASURES

North Macedonia is **partially aligned** with the horizontal elements of the EU *acquis* on agriculture and rural development. There is already partial alignment on the integrated administration and control system (IACS), farm sustainability data network (FSDN) and with the EU *acquis* in the area of management and monitoring of agriculture expenditure and rural development support. Work should continue to establish the necessary administrative structures. Further progress should be made on agriculture support schemes, financing of agricultural expenditure, State aid.

II. AGRICULTURAL MARKETS / COMMON MARKET ORGANISATION

II.A. TRADE MECHANISMS

a. Country presentation

North Macedonia is a member of the World Trade Organisation since April 2003. There are no export subsidies or special safeguard measures. It applies the Combined Nomenclature for the classification of products. Legislation under the Customs Law prescribes the method for the allocation of tariff quotas. North Macedonia considers it to be partially aligned with the *acquis*. The use of tariff quotas is based on the "first come first served" principle, managed by the Customs Administration. All customs formalities are administered through an electronic system. North Macedonia does not apply any system of licencing for imports or exports although entities importing and exporting of certain agriculture products need to fulfil conditions and be registered in traders registries in MAFWE. Importers of wheat and wheat flour intended for the national market must be registered in a register of importers of agricultural products. Importers of raw tobacco intended for the national market must be registered in a register of tobacco purchasers and legal entities registered for the production of tobacco products and related products..

The Stabilisation and Association Agreement with the EU provides North Macedonia with practically duty-free access to the EU market for most agricultural products (for baby beef sugar and wine tariff quotas or reduced duties are applied). North Macedonia's import tariffs for agricultural products from the EU have been liberalised, except for certain live animals, meats, fruits, and vegetables. Certain vegetable oils, potatoes and dairy products are subject to tariff quotas. North Macedonia is a member of the Central European Free Trade Agreement (CEFTA) where trade in agricultural goods is fully liberalised. North Macedonia has concluded preferential trade agreements with EFTA (Iceland, Liechtenstein, Norway and Switzerland), Türkiye, Ukraine and the United Kingdom.

b. Commission assessment

North Macedonia has a **low level** of alignment with the EU *acquis* on trade mechanisms. North Macedonia's tariffs and trade arrangements for agricultural products must be fully aligned with the *acquis* upon accession.

II.B. MARKET INTERVENTIONS

a. Country presentation

North Macedonia does not to have a public intervention system. The Commodity Reserves Agency purchases and sells agricultural products (primarily, mercantile wheat and barley for fodder) in line with the Law on Commodity Reserves, exclusively for the purpose of renewal in order to constantly have a sufficient quantity of goods of appropriate quality and shelf life in the commodity reserves. North Macedonia does not perform market intervention in order to regulate market prices. Aid for private storage is provided in this context to agricultural holdings storing domestically produced wheat and barley, and which are registered in the Farm Register and have applied for area-based support payments. North Macedonia has legal provisions for exceptional support measures in case of market disruption but has no system in place to implement such measures.

b. Commission assessment

North Macedonia's policy on storage has a **low level** of alignment with the *acquis* on the common markets organisation. North Macedonia will need to be able to apply all market interventions of the *acquis*, including on storage and exceptional support measures and communication requirements upon accession.

II.C. SCHOOL SCHEMES

a. Country presentation

North Macedonia implemented a programme to encourage the consumption of fresh fruit in educational establishments for the first time in 2022 with a budget of about EUR 325 000. In all 350 schools on the territory of the Republic of North Macedonia, students were provided with apples. In 2023, funding for the programme increased to EUR 650 000 to also provide one kilogramme of fruit per week to pre-school children for the period July -December 2023.

b. Commission assessment

North Macedonia is encouraged to continue its school schemes and to align its schemes to the EU *acquis* in this area.

II. D. PLANT PRODUCTS

a. Country presentation

North Macedonia's main arable crops production is **cereals**: wheat (45% of sown area, 70 000 ha in 2022), barley (30%, 45 000ha in 2022) and maize (19%, 30 000 ha in 2022). Oats, rye and rice are also produced to a limited extent. Production of **oilseed** has increased by 26% since 2019 (sunflower, 6000 ha in 2022). In 2022 overall, 548 000 tonnes of cereals and oilseeds were produced on 161 000 ha (about 13% of the agricultural area). Import exceeds export, as production does not cover the national consumption (2022: 135 469 tonnes import, 47 401 tonnes export). North Macedonia has marketing standards for cereals, which it considers already well aligned with the EU *acquis*.

There is some production of protein crops (around 11 000 ha). Dried fodder was produced on 36 000 ha in 2022. North Macedonia indicated that in the production year 2022/2023, 30 suppliers had been registered for the production and certification of seed material from cereal plants, however seed production is marginal. North Macedonia indicated that it has no production or processing of fibre crops (flax and hemp) and **hops**. There is no production of potato starch, cotton and silkworms. There is no sugar beet or sugar production.

b. Commission assessment

North Macedonia has a **low level of alignment** with the common market organisation on arable crops. North Macedonia currently has no production of hops but would need to consider if it must align with EU *acquis* including on marketing standards and on certification and related controls.

II.E. ANIMAL PRODUCTS

a. Country presentation

In the area of **milk and milk products**, there were some 97 000 dairy cows, 465 000 sheep and 54 000 dairy goats in 2022, with the numbers steadily decreasing in recent years. The sector is fragmented with more than 60% of the holdings involved in cow milk production having up to 6 dairy cows. Support payments per head are paid for cows, sheep and goats. Milk productivity is low. Total milk production in 2021 is recorded at 378 million litres, 86.5% of which was cow milk, 9% sheep milk and 4.5% goat milk. North Macedonia had a negative trade balance of around EUR 14 million in dairy products in 2021. Yoghurt and cheese are the main products of North Macedonia's processing industry. Marketing standards for milk and milk products are in place. North Macedonia considers them closely aligned with the EU *acquis*. Public intervention, private storage aid, contractual relations and producer organisations are not implemented in North Macedonia. In 2022 an exceptional market support measure was applied, with payment per litre of milk delivered to a registered buyer. An agricultural market information system (AMIS) is in place as a weekly price monitoring system.

There were 165 000 head of **beef** cattle in 2022, the number steadily decreasing in recent years. There is no division between dairy and beef production and bovine meat is mainly a side product from milk production. Support measures are paid per head of cattle. Domestic production of bovine meat

amounted to 4 415 tonnes in 2022. North Macedonia had a negative trade balance of EUR 52 million for bovine meat in 2022. North Macedonia has a system for the identification of bovine animals with registration in an electronic database. It considers its legislation in line with the *acquis*. North Macedonia has marketing standards for beef and veal. North Macedonia stated that it applies a carcass classification system but that it is not aligned with the EU *acquis*. North Macedonia stated that its national labelling system of beef products is aligned with EU requirements. Other EU acquis is not reflected in North Macedonia's legislation, such as exceptional support measures, contractual relations in the sector, and producer organisations.

There were 646 488 **sheep** in North Macedonia in 2022 and 80 186 **goats** with over 95% of them are produced in small farm structures. The average number of sheep or goats per farm, ranges between 20 and 200 animals, kept mainly for meat production and milk production. North Macedonia is largely self-sufficient. Milk production is important from sheep (around 30 000 tonnes in 2022) and goats (about 15 000 tonnes in 2022). There are support payments per head of sheep and goat. While there is a legal basis, a carcass classification system aligned to EU does not exist. Other EU legislation is not reflected in North Macedonia's legislation, such as exceptional support measures, contractual relations in the sector, and producer organisations. An agricultural market information system (AMIS) is in place as a weekly price monitoring system.

For **pig meat** production in North Macedonia, pig numbers and production have remained stable in recent years. 60% of pigs are produced by five large specialised holdings, while of the remaining 40%, the majority is produced in very small farms with up to 20 pigs. In 2022 there were 182 600 pigs producing 13 493 tonnes of pigmeat. Pig production covers around 90% of the national demand. North Macedonia pays support for pigs (minimum 5) raised and slaughtered in an approved slaughterhouse. Slaughterhouses are processing around 600 carcasses weekly. A carcass classification system aligned to the EU does not exist. While there is a system for the identification and registration of pigs, pigs raised by small subsistence farms are not always registered. The agricultural market information system (AMIS) is in place as a weekly price monitoring system.

Poultry had a share of 6% by weight in meat production in 2020. There was a total of 0.6 million heads of poultry for meat production. Poultry meat production in 2022 was 1 942 tonnes. North Macedonia had a negative trade balance of live poultry and poultry meat of around EUR 61 million in 2022. The legal framework for poultry regulates the definitions, method of placing on the market and minimum quality characteristics. There is a high degree of alignment with the EU *acquis*. North Macedonia does not have exceptional market support measures. 148 million **eggs** were produced in North Macedonia in 2022, up from 131 million in 2021 but down from 183 million in 2020. There were 1 million laying hens in 2019. The legal framework for eggs regulates the definitions, method of placing on the market and minimum quality characteristics. There is a high degree of alignment with the EU *acquis*. Farming methods are monitored and sanctions applied for breach for rules. An agricultural market information system (AMIS) is in place as a weekly price monitoring system for poultry and eggs.

In 2021 **honey** production was 2 666 tonnes. There were 5 500 holdings involved in beekeeping which had in total 220 000 bee hives. Direct support is provided per colony (EUR 10 per colony, minimum 10 registered colonies) and for quality analysis (50% of laboratory costs). North Macedonia considers its legislation to be aligned with the *acquis* on apiculture and honey. There are 17 facilities approved by the Food and Veterinary Agency for the production, processing, packaging and labelling of honey. Export in 2021 amounted to 135 tonnes and imports326 tonnes, trade remaining relatively stable over the years.

b. Commission assessment

North Macedonia has a **low level** of alignment with the *acquis* on dairy, beef, sheep, goats and pigs. Challenges to alignment with the EU is impacted by the sectors fragmentation. Carcass classification systems in line with the EU *acquis* need to be developed and marketing standards fully aligned with the EU *acquis*. Animal identification and registration must be comprehensively assured and alignment is needed with the EU *acquis* in the different sector, such as exceptional support measures, contractual relations , producer organisations. For poultry and eggs and honey, alignment with the EU *acquis* is partial. Alignment with EU acquis should continue.

II.F. WINE, AROMATISED WINE AND SPIRIT DRINKS

a. Country presentation

Wine production in North Macedonia reached 83.7 million litres in 2022. The total vineyard area was 23 425 ha with 65% of the vineyard area planted mainly with Vranec and Smederevka varieties. Around 85% of the area harvested (265 556 tonnes of grapes) was for wine with 15% of table grapes. There are 163 wineries registered with varying degrees of capacity; 4 wineries account for around 52% of the total wine production with 123 having capacity below 50 000 litres. North Macedonia has a vineyard register. The Ministry of Agriculture, Forestry and Water Economy keeps records of the individual producers' harvests, production and stocks.

A National strategy for the development of viticulture and wine (2023-2033) is in place. Framework legislation on vineyards and wines aligning with the EU *acquis* was last updated in 2019. including alignment with most EU definitions on oenological practices, and labelling and presentation of wine. A new wine law to fully align with the *acquis* has been drafted, adopted and published. North Macedonia also intends to align with the EU *acquis* on aromatised wine and spirit drinks in 2025. North Macedonia is a member of the OIV since 2004.

North Macedonia´s **spirit drinks** legislation is partially harmonised with the *acquis.* No records are kept of distilleries or the production of spirit drinks. North Macedonia informed of its intention to improve its administrative capacity in this sector, develop the sector with regard to production, labelling and controls and fully align with the EU *acquis.*

b. Commission assessment

In the **wine** sector, North Macedonia has **partially aligned** its legislation with the EU *acquis*, with ongoing efforts with a view to further aligning and updating. A vineyard register is established. The Commission takes note of the alignment planned until 2026, including on **aromatised wine.** As regards **spirit drinks**, North Macedonia needs to fully align with the EU *acquis* with regard to the production and labelling and the protection of geographical indications.

II.G. FRUIT AND VEGETABLES

a. Country presentation

The fruit and vegetables sector is an important part of North Macedonia's agriculture. It accounts for around 65% of the agricultural production value, including potatoes. The area sown is around 49 000 ha of vegetables (including around 12 000 ha potatoes) and 16 500 ha of orchards. In 2019, 904 000 tonnes of vegetables and 169 000 tonnes of fruits were harvested. Potato (21%), tomato (17%) and pepper (20.5%) are the most important vegetables while the most important fruit is apples (53% of fruit production volume). North Macedonia is a net exporter of fruits and vegetables. There are over 150 processing enterprises, partly EU-compliant.

Producer organisations, producer groups or interbranch organisations as defined by EU legislation do not exist in North Macedonia, although legislative provisions for producer organisations are in place. However, agricultural cooperatives under national legislation have some elements of producer organisation system and some are active in the area of fruit and vegetables production. Price reporting has been established since 2008 with weekly reporting to a publicly available website. North Macedonia indicated the national provisions on marketing standards for fruits and vegetables are in line with the *acquis.* A draft marketing standard for banana was also developed. A licensing system is in place for the import of fresh fruits, vegetables and bananas. North Macedonia plans to align with the EU common market organisation legislation through its new law on agriculture and rural development, planned for 2025.

b. Commission assessment

As regards fruit and vegetables, North Macedonia is **partially aligned** with the *acquis*. Further efforts are needed to fully align by the time of accession. This will require sufficient administrative capacity to implement and enforce EU *acquis* requirements, including on marketing standards.

II.H. OLIVE OIL

a. Country presentation

North Macedonia has only minimal production of olive oil, with some increase planned for the future. National legislation does not fully reflect the EU marketing standards. North Macedonia plans further legislative alignment and to implement official controls and enforce marketing standards in line with EU *acquis*.

b. Commission assessment

North Macedonia's legislation is **partially aligned** with the EU *acquis*. North Macedonia will have to align its legislation with EU *acquis* and be able to fully implement the obligations on marketing standards and the methods of analysis of the characteristics of olive oil.

II.I. TOBACCO

a. Country presentation

North Macedonia described tobacco as a very important industrial crop for its economy, both from an economic and social perspective, with average annual production accounting for some 6.5% of the total value of agricultural production. In 2022, tobacco was grown on 15 044 ha of land with 25 978 tonnes of raw oriental variety produced. According to the structure of annual tobacco production, 9% of tobacco growers produce under 500 kg, 67% between 500 and 2 000 kg of tobacco and 24% produce over 2 000 kg with 70% of the producers male. Legislation and policy is defined in the Law on tobacco, tobacco products and related products and the Strategy for tobacco production for the period 2021-2027. The strategy promotes continued sustainable production, State aid support and promotion of producer organisation development. Premiums, based on the quality of the product are paid per kilogramme of tobacco sold to registered purchasing companies (EUR 1.30/kg for first quality). Control of the production, purchase and processing of raw tobacco, producers and purchasers has been established and is maintained by the Ministry of Agriculture, Forestry and Water Economy.

b. Commission assessment

North Macedonia will need to harmonise its legislation with the EU reporting requirements on tobacco production and price and with the provisions on interbranch organisations in the sector.

II.J. COCOA, CHOCOLATE, COFFEE, FRUIT JUICES, JAM

a. Country presentation

In North Macedonia, the Law on the quality of agricultural products regulates the markets. Implementing legislation is in place regarding the quality of processed fruit and vegetable products, on special safety requirements for cocoa products and chocolate products and for coffee extract and chicory extracts as well as for the safety of fruit juices and certain similar products. North Macedonia considers the legislation on cocoa, chocolate, coffee and chicory extracts aligned with the EU acquis. Provision on food information to consumers is aligned with the EU *acquis*. North Macedonia intends to align its official controls with the EU requirements.

b. Commission assessment

North Macedonia's legislation is **partially aligned** with the EU *acquis* on cocoa, chocolate, coffee, fruit juices and jam, including on marketing standards and labelling. Further alignment to fully update with the EU acquis must be ensured. North Macedonia needs to ensure sufficient capacities to enforce and control on the market.

II.K. NON-ANNEX I

a. Country presentation

Specific trade agreements for non-annex I products are in place with the EU, EFTA countries, Ukraine and the UK. For all other bilateral and multilateral trade agreements, processed agricultural products (PAPs) are not explicitly specified as separate groups of products. The average share of PAPs in total agricultural exports and imports in the period 2020-2022 was 18% and 39% respectively. North Macedonia does not apply specific legislation regulating the trade of PAPs. North Macedonia stated that it plans to introduce and implement new legislation to align with the EU *acquis*.

b. Commission assessment

North Macedonia has a **low level** of alignment with the EU *acquis* on Non-Annex I products. North Macedonia will need to align with the *acquis* and be in a position to apply a system of customs protection for processed agricultural products (PAPs) on the basis of the content of the agricultural component by the date of accession to the EU.

II.L. SUMMARY OF FINDINGS – AGRICULTURAL MARKETS/ COMMON MARKET ORGANISATION

North Macedonia is **partially aligned** with the EU *acquis*. North Macedonia has a low level of alignment on markets interventions and trade mechanisms Legislation on the Common Market Organisation and its various measures needs to be put in place and in some areas further developed. Market measures, reporting and communication requirements need to be fully aligned with the *acquis*.

III. QUALITY POLICY

a. Country presentation

Quality policy for agricultural and food products is governed by the Law on the quality of agricultural products. Accompanied by implementing legislation, the national legal framework is currently considered functional and harmonised with the EU Regulation on quality schemes for agricultural products and foodstuffs. Protection of the wine geographical indication is regulated by the Wine law and implementing legislation, partly aligning with the *acquis*. The Ministry has been providing technical support for establishing geographical indications. There are registers for protected geographic indications, protected designations of origin, traditional specialities guaranteed and other schemes, including for wine in line with the *acquis*. Thes can be consulted on the website of the Ministry for Agriculture, Forestry and Water Economy.

b. Commission assessment

North Macedonia's legislation is **partially aligned** with the EU *acquis* on **quality policy**. Continued alignment needs to be ensured and the implementation and control of quality schemes further strengthened.

c. SUMMARY OF FINDINGS –QUALITY POLICY

North Macedonia's legislation is **partially aligned** with the EU *acquis* on **quality policy**. Further alignment is required, and implementation of the policy should be strengthened.

IV. ORGANIC FARMING

a. Country presentation

North Macedonia's organic farming is governed by the Law on organic production and implementing legislation. North Macedonia considers its legislation as partially aligned with the EU *acquis* and

indicated that a new national law on organic production has been prepared for adoption to widely align with the EU *acquis*. Its adoption is expected in 2025.

The sector of organic farming in North Macedonia is small and slowly growing. In 2021, the share of organic area in total cultivated area was 0.83% (4 277 ha), with a production of approximately 11 000 tonnes. In 2022 cereal had the largest share (36%) in organic production area. Organic production of mostly medicinal and aromatic plants covered some 6 000 ha in 2021. In livestock production the leading branch is sheep breeding, since most of the sheep breeding is extensive. In 2021, there were 120 275 organic sheep, 19.5% of all sheep in the country.

A system for control and certification of organic agriculture is in place. It is supervised by the State Inspectorate for Agriculture (SIA) and the Food and Veterinary Agency (FVA). A register of organic producers is published for market and consumer information.

Organic production receives support as a top-up to other payments of between 30% for organic fodder production and 100% for organic vegetable production. Conversion is also supported and young farmers undertaking organic production receive a one-time grant of EUR 10 000. In addition, organic producers are favoured when applying for the lease of agriculture land. Further support is available for processing and promotion activities.

b. Commission assessment

North Macedonia's legislation is **partially aligned** with the EU *acquis* on organic farming. Further alignment needs to continue with the proposed new law and the monitoring and control system needs to be improved and strengthened.

C. SUMMARY OF FINDINGS – ORGANIC FARMING

North Macedonia's legislation is **partially aligned** with the EU *acquis* on **organic farming**. North Macedonia should continue aligning with the EU *acquis* on organics and further strengthen the monitoring and control system.

V. PROMOTION OF AGRICULTURAL PRODUCTS

a. Country presentation

On the **promotion of agricultural products**, North Macedonia presented its legislation which provides funding for the participation of agricultural association in fairs and promotional events outside of North Macedonia. The focus is on products with the highest export potential. North Macedonia plans to align with the EU acquis in this area by 2029, before accession to the EU.

b. Commission assessment

North Macedonia has a promotion policy in place with some elements of implementation in common with the EU information and promotion policy. North Macedonia is encouraged to fully align with the EU *acquis* on the information and promotion of agricultural products by the date of accession.

C. SUMMARY OF FINDINGS – PROMOTION OF AGRICULTURAL PRODUCTS

North Macedonia is **partially aligned** with the EU *acquis* on information and promotion policy. North Macedonia needs to further align with the EU *acquis* to implement the EU information and promotion policy upon accession.

VI. FIGHT AGAINST CORRUPTION MEASURES – AGRICULTURE AND RURAL DEVELOPMENT

a. Country presentation

The anti-corruption framework in North Macedonia is laid down in its Law on prevention of corruption and conflict of interest, and in the National strategy for the prevention of corruption and conflict of interest 2021-2025 with an Action plan for its implementation. The State Commission for the Prevention of Corruption (SCPC) also has guidelines which include the protection of public interest, compliance with the code of ethics, merit-based recruitment, transparency, and whistle blowers. Agriculture and rural development is one of 15 sectors specifically covered in the strategy. Further sectors relevant for agriculture and rural development are on public procurement, on employment, on state-owned property and on oversight of law enforcement.

The SCPC identified four priority issues to be addressed in the area of agriculture and rural development to prevent corruption. Those concern untransparent use and sale of state-owned land, the complex system of subsidies, insufficient administrative capacity to prevent corruption and conflict of interest as well as unclear and not sufficiently separated competences for policy making, their implementation and the supervision of implementation. It also found that inspection services both at national and at local level have very limited capacity. SCPC assessed that from the 27 actions planned in the action plan for implementing the anti-corruption strategy and addressing the priority issues in 2021 and 2022, only three had been started and none completed.

The Agency for financial support of agriculture and rural development (AFSARD) which implements IPARD stated to adopt an annual plan for prevention of corruption, has established a procedure for irregularities and appointed officials to ensure its implementation. It informed to receive around 100 to 150 complaints per year, to have five or six whistleblowing incidents per year and that it answered all 9 requests for public information received in 2022.

b. Commission assessment

North Macedonia has some measures in place on anti-corruption and has developed some implementing capacity. The agriculture and rural development areas receive considerable public funding in the EU Member States. Support system needs to be fraud-proof. The Commission will closely monitor the developments in North Macedonia to put in place and implement the necessary standards. North Macedonia already has a legal basis for anti-corruption measures, an ongoing strategy and action plans on the prevention of corruption and conflicts of interest, and a State Commission for the Prevention of Corruption (SCPC). The SCPC has issued guidelines on the protection of public interest, compliance with the code of ethics, merit-based recruitment, transparency, and whistle blowers. SCPC has identified priority issues to address relevant for the agricultural sector and actions planned for their remediation, which remain to be implemented. Inspection services will also have to be significantly strengthened.

c. SUMMARY OF FINDINGS – ANTI-CORRUPTION MEASURES WITH REGARD TO AGRICULTURE AND RURAL DEVELOPMENT

North Macedonia has some measures in place on anti-corruption , including a strategy and action plans on anti-corruption measures. The State Commission for the Prevention of Corruption has flagged several issues which need to be addressed specifically for the agriculture and rural development sector and the action plan has remedial measures which North Macedonia should implement. These should be addressed.

C) CHAPTER 12 – FOOD SAFETY, VETERINARY AND PHYTOSANITARY POLICY

The EU *acquis* in the field of food safety, veterinary and phytosanitary policy aims to ensure safe and wholesome food for European citizens. The high level of safety, authenticity and integrity of food (and feed) are safeguarded thanks to the application of specific laws, together with rules on animal health, animal welfare, plant protection products, and plant health.

The principal pre-requisites for a candidate country in this domain are the alignment with EU legislation, as well as its correct implementation by a properly structured and trained administration. The *acquis* in this chapter consists of a very large number of Regulations, Directives and Decisions.

For the implementation of the EU *acquis* on food safety, appropriate administrative structures are needed to be able to ensure that agri-food chain legislation to protect human health, animal health and welfare, and plant health, is correctly applied and enforced including an appropriate laboratory capacity.

The General Food Law Regulation (Regulation (EC) 178/2002) is the foundation of food and feed law. It sets out an overarching and coherent framework for the development of food and feed legislation both at Union and national levels. To this end, it lays down general principles, requirements and procedures that underpin decision making in matters of food and feed safety, covering all stages of food and feed production and distribution.

Amongst others, it lays down the risk analysis principle, including the precautionary principle. As regards requirements, it sets out the primary responsibility of all food and feed business operators and it requires food and feed placed on the EU market to be safe. It also sets out traceability requirements for food and feed for safety purposes, throughout the food chain.

Traceability is particularly important for the protection of consumers, in light of food and feed found to be unsae/non-compliant.

The General Food Law Regulation also sets up an independent agency responsible for scientific advice and support, the European Food Safety Authority (EFSA). Moreover, it creates the main procedures and tools for the management of emergencies and crises as well as the Rapid Alert System for Food and Feed (RASFF).

Furthermore, food-related legislation covers packaging, labelling, marketing, additives, extraction solvents, flavourings, food contact materials, food supplements, mineral waters and ionising radiations, contaminants, novel foods, quick frozen food, quality of seeds and propagating material, plant protection products, harmful organisms, plant variety rights, as well as genetically modified organisms.

The animal health law (Regulation (EU) 2016/429) lays down rules for the prevention and control of animal diseases which are transmissible to animals or to humans. In addition, concerning plant health, Regulation (EU) 2016/2031 establishes rules to determine the phytosanitary risks posed by any species, strain or biotype of pathogenic agents or parasitic plants injurious to plants or plant products (‘pests’) and measures to reduce those risks to an acceptable level.

EU Member States are responsible for the implementation and enforcement of agri-food chain legislation. Competent authorities organise official controls systems on their territory to verify that operators' activities and animals and goods placed on the EU market (either EU produced or imported from non-EU countries) comply with relevant standards and requirements. Regulation (EU) 2017/625 on official controls and other official activities (‘Official Controls Regulation’ – OCR) is a horizontal framework of basic principles and rules that apply falling in its scope and ensures that official control systems of Union Member States operate in the most effective, impartial and transparent manner. OCR has also introduced a coherent, uniform regime for the official controls of animals and goods entering the Union.

The EU regime is based on the direct application and the effective implementation by the authorities in the EU Member States of these regulations and the delegated and implementing acts associated to them.

North Macedonia accepts the *acquis* on chapter 12 - Food Safety, Veterinary and Phytosanitary Policy.

I. FOOD SAFETY

I.A GENERAL FOOD AND FEED LAW

a. Country presentation

The institutional framework for food safety in North Macedonia includes the Food and Veterinary Agency (FVA), the Ministry of Agriculture, Forestry, and Water Economy (MAFWE), the Ministry of Environmental and Physical Planning (MOEPP), and the Ministry of Health (MH). The FVA is the primary authority and national contact point for negotiations on Chapter 12. The country has a legal framework comprising the Food Safety Law (nos. 157/10, 53/11, 1/12, 164/13, 187/13, 43/14, 72/15, 129/15, 213/15, 39/16, 64/18, and 209/23) and the Law for Feed Safety (nos. 145/10, 53/11, 1/12, 33/15, 149/15, and 53/16). The country reports that the 2023 amendment to the Food Safety Law aligns certain provisions with the EU Official Control Regulation (OCR). The country claims having an integrated food safety control system covering all areas, from animal and plant health to imports of animals and food of animal origin. It states that the new laws on animal and plant health are in the final stages of preparation. The country declares that Regulation (EC) No 178/2022 and related regulations are fully aligned into national law.

North Macedonia claims to have a Multiannual Control Plan (MANCP) for food, veterinary medicine, and plant health for 2019-2024, along with a crisis management plan for food and feed safety. The country also mentions specific plans for controlling salmonellosis, trichinella, brucellosis, tuberculosis, and avian influenza. The FVA, supported by three MAFWE units and the Institute for Public Health for zoonosis, reportedly employs 324 staff across central and regional levels. The central FVA consists of nine departments (including a risk assessment and communication department with 7 staff members), thirty-one units, and six independent units. North Macedonia indicates having 31 regional offices and nine Border Inspection Posts (BIPs). Future plans include increasing staff in risk assessment, risk communication, and the RASFF department.

b. Commission assessment

North Macedonia has a **partial level of alignment** with the *acquis* on food and feed law, notably in terms of the general principles and requirements of the General Food Law Regulation. However, in terms of the structure allowing the correct implementation, the distinction between risk assessment and risk management within the FVA, which also has a bearing to the pre-market approvals/authorisations of food/feed related products, is not ensured. It is also not clear how emergency measures to address likely serious risks to human health, animal health or the environment pertaining to the placing of a food or feed on the market are taken, including how such processes are triggered or eventually reviewed. Further work is still needed to ensure separation between risk managers and risk assessors within the FVA and to establish the appropriate processes for regulatory measures to be taken based on the risk analysis principle.

I.B. OFFICIAL CONTROLS

a. Country presentation

The competent authority of North Macedonia responsible for organising and implementing official controls is the FVA, with 348 civil servants. In plant health and plant protection, the Phytosanitary Directorate, State Agriculture Inspectorate, and State Phytosanitary Laboratory within MAFWE are the competent authorities. The FVA's Department of Inspection Supervision (DIS) is responsible for the

implementation of official controls with 234 employees, including 185 inspectors (112 Official Veterinarians and 73 Food Inspectors) across 29 local units, 10 border inspection posts, and 17 inspection posts inside the country at the customs terminals for import control of food of non-animal origin.

North Macedonia declares that the organisation of official controls in the country is based on EU principles and national legislation, implemented through strategic documents, a multi-annual control plans, annual plans, programmes, and supporting documentation (instructions, guidelines, procedures and checklists). North Macedonia collects fees for these services and has an audit system based on an annual program. The country acknowledges that some legislation is aligned, while others, like the Draft Law on Official Control, are pending adoption by earlier 2026 at the latest.. North Macedonia states that official controls are carried out at all stages of food production and distribution. The DIS conducts unannounced and ad hoc controls, planned centrally based on risk assessments, with annual and monthly work plans, and regular reports are prepared. Establishments are categorised by risk level for inspection frequency. The country reports that the FVA authorizes private veterinarians for animal health activities.

North Macedonia declares full alignment of the 2023 Food Safety Law and 2016 Feed Safety Law and their secondary legislation with Regulation (EC) No. 882/2004, which is however repealed by Regulation (EU) 2017/625. The draft Law on Animal Health, set for adoption in 2026. The current system is regulated by the Veterinary Health Law (Amended 2016). The country notes that its legislation is not yet aligned with Regulation (EU) 2017/625 and its delegated and implementing, with draft rules expected to be adopted by 2024-2025.

b. Commission assessment

North Macedonia has **not yet aligned** its legislation with the requirements of Regulation (EU) 2017/625 (OCR) on a harmonised system of official controls in the agrifood sector, namely in the areas that fall within Article 1(2) of this Regulation. There is full alignment with the previous, repealed Regulation on Official controls, Regulation (EC) No 882/2004, as well as with only the following Implementing and Delegated Acts adopted under the OCR, namely Commission Implementing Regulation (EU) 2019/1793, Commission Delegated Regulation (EU) 2019/2090, Commission Implementing Regulation (EU) 2019/627, Commission Delegated Regulation (EU) 2019/624, Commission Delegated Regulation (EU) 2022/1644 and Commission Delegated Regulation (EU) 2019/2122.

However, North Macedonia is committed to aligning with the OCR through the adoption of the revised Law on Food Safety. The Law on the performance of Official Controls that are to be adopted by 2025.

The Food and Veterinary Agency (FVA) and the Ministry of Agriculture, Forestry and Water Economy (MAFWE), which includes the Phytosanitary Directorate (PD), State Phytosanitary Laboratory (SPL), and State Agriculture Inspectorate (SAI), are designated as competent authorities responsible for conducting official controls and analyses in most areas covered by the OCR. Further details are awaited regarding the distribution of responsibilities for food contact materials, Genetically Modified Organisms (GMOs), plant protection products, sustainable use of pesticides, organic production and labelling, as well as protected designations of origin (PDOs) and geographical indications (GIs).

Statistics from 2022 and 2023 on official controls, enforcement actions, staff training, control procedures, and the establishment of a verification system demonstrate significant efforts towards Union law compliance. However, challenges identified include: a) establishing a financing system for official controls and activities; b) ensuring transparency in authorities' activities and fee imposition; c) meeting legal requirements for designating official laboratories; d) ensuring competence, impartiality, and regular training of staff authorised or delegated to perform official control tasks; e) adequately allocating resources for staffing in veterinary and plant health areas.

I.C COMMITTEES DIRECTIVE

a. Country presentation

The horizontal Regulation related to comitology and the working of the Committees is not yet aligned in North Macedonia.

Regarding accelerated integration, North Macedonia requested to participate to certain specific sections of the PAFF Committee, other standing committees and expert working groups as an observer.

b. Commission assessment

North Macedonia showed a good understanding of the workings of the Comitology Regulation and the workings of the Committee. Participation in regulatory Committee meetings under Chapter 12 will officially only be possible once the Accession Treaty is signed, given the sensitive nature of some of the decisions taken in these Committees.

North Macedonia needs to map and identify the institutions and experts who will represent the country in the Committees meetings.

Regarding accelerated integration, the Commission will further explore North Macedonia's request to participate to certain specific sections of the PAFF Committee, other standing committees and expert working groups as an observer.

I.D EUROPEAN FOOD SAFETY AUTHORITY (EFSA)

a. Country presentation

North Macedonia declares active participation in EFSA working bodies and networks, including the advisory forum and the scientific network on zoonoses data collection. The country states that it has been collecting and reporting data to EFSA since 2017. The Food and Veterinary Agency serves as the national contact point for EFSA and considers EFSA opinions in its operations.

b. Commission assessment

North Macedonia showed a solid understanding of the EFSA and its working methods and will be in position actively participate in its working bodies and networks after the accession to the EU.

I.E TRAINING

a. Country presentation

North Macedonia reports active participation in Better Training for Safer Food (BTSF) since 2007 and in TAIEX activities since 2005. The country declares itself a beneficiary of European Health and Digital Executive Agency's (HaDEA) veterinary programme grants for African Swine Fever (ASF) and LSD since 2020. North Macedonia acknowledges receiving €15.2 million through IPA funding from 2008 to 2023 and reports active engagement in regional IPA programs, such as the regional action on disease eradication in the Western Balkans (2020-2022)

b. Commission assessment

North Macedonia has a good understanding of its training needs, and training is included in their annual plan. The country actively participates in BTSF trainings and other training programs supported by EU pre-accession support instruments. However, there is a need for further development of national training capacities.

I.F SUMMARY OF MAIN FINDINGS – GENERAL FOOD SAFETY

Overall, North Macedonia is **partially aligned** with the EU *acquis* on general food safety. National legislation partially aligns with EU Regulation (EC) No 178/2022 on Food and Feed Safety, but it is not yet aligned with EU Regulation (EU) No 2017/625 on Official Controls.

II. VETERINARY POLICY

II.A. CONTROL SYSTEM IN THE INTERNAL MARKET AND ANIMAL HEALTH LAW

a. Country presentation

North Macedonia acknowledges that its legislation is not yet aligned with EU Regulation (EU) 2016/429 ('Animal Health Law') and related delegated and implementing acts. It declares that a new national animal health legislation to be adopted in 2026 will align with EU Regulation 2016/429 and its associated acts. Currently, the North Macedonia reports to operate under the Law on Veterinary Health (amendment) 2016, the Law on Food Safety No. 157/2010, and the Law on Identification and Registration of Animals (amendment) 2021, meaning that the country still applies rules from repealed EU legislation.

In terms of the institutional framework, North Macedonia's FVA's Department for Animal Health and Welfare collaborates with the Department for Inspection Supervision, Veterinary Laboratory, and Private Veterinary Practices (PVP) authorized for specific animal health protection activities.

Regarding implementation, North Macedonia's control system for live animals, semen, ova, and embryos is governed by harmonized delegated legislation (Book of Rules) aligned with the EU *acquis*. The country categorizes diseases under national control programs, including diseases listed according to EU Regulation 1882/2018, already harmonized with national veterinary legislation. North Macedonia is recognized as free from certain diseases, for which it has contingency plans and operational manuals for passive and conducts active surveillance. The country declares that eradication programs are in place for Category B diseases, with plans to develop programs for Category C diseases. Disease notification is regulated by delegated legislation aligned with EU requirements, with FVA notifying outbreaks through Animal Disease Information System (ADIS) and World Animal Health Information System (WAHIS). Legal obligations in the country's legislation mandate disease suspicion notification by operators, keepers, transporters, private veterinary practitioners, and official veterinarians.

North Macedonia plans to adopt most delegated and implementing acts from EU Regulation 2016/429 in 2026. The alignment and adoption of specific regulations on aquaculture establishments, germinal product establishments, and animal health certification requirements for aquatic animals and products are expected as Book of Rules in 2026.

b. Commission assessment

For animal health, North Macedonia **has not yet aligned** its legislation with the requirements of Regulation (EU) 2016/429 ('Animal Health Law') and delegated and implementing acts adopted on its basis. There are few exemptions, i.e. the alignment with Commission Implementing Regulation (EU) 2018/1882 on the list and categories of animal diseases, the alignment for eradication programmes for brucellosis and *Mycobacterium tuberculosis* complex in line with CDR (EU) 2020/689 is on its way, as well as disease and notification and reporting of diseases in accordance with CIR (EU) 2020/2002. The country notifies animal diseases through the ADIS system and is committed to achieving alignment with Regulation (EU) 2016/429 with delegated and implementing acts adopted by 2026.

North Macedonia has in place elements of veterinary services through the Food and Veterinary Authority (FVA), including policy development, regional and local inspection services, and laboratories. There are an established chain of command, resources at regional and local level, including laboratories, which will need to be thoroughly scrutinised in due course. Potential enforcement

challenges may arise regarding the timely alignment with recent EU animal health rules, stakeholder awareness and understanding of new legislation, proper planning and implementation of animal disease surveillance (including related to animal movements), including validation, analysis and interpretation of health and diseases data. The continuous alignment and accreditation of laboratories and methods are other enforcement challenges to be addressed. The frequent use of private veterinarians for official tasks could pose challenges if not properly delegated according to official control rules. Efforts are needed to address these issues. The country is already aligning and starting to enforce updated brucellosis and tuberculosis programs and is continuing efforts towards rabies eradication. Additionally, the North Macedonia has initial plans for the eradication of category C diseases, including considering the eradication of bovine leukosis closer to accession.

II.B. CONTROL SYSTEM FOR IMPORTS

a. Country presentation

The FVA is the competent authority, responsible for official control activities in North Macedonia through its Department for Inspection Supervision at central level, which includes the State Veterinary Inspection Unit at Border Inspection Posts (BIPs) with three doctors of veterinary medicine. There are currently 10 BIPs in operation with 19 official veterinarians stationed there.

In terms of legislative alignment, North Macedonia is currently drafting two laws—the Law on Official Controls and the Law on Animal Health—and plans to adopt them by 2026 to align with Regulation (EU) 2017/625 (OCR) and Regulation (EU) 2016/429 (AHL). The country asserts that its secondary legislation is in the process of aligning with Union tertiary legislation with the preparations of Book of Rules, including regulations for checking personal luggage of passengers. The country reports having established multiannual and annual control plans, import monitoring plans and safeguard measures, and has, detailed control procedures, guidance documents, instructions and checklists, IT systems. It also has in place collaboration with customs authorities. The country's import control system is said to cover also food of non-animal origin, plants, and plant products. North Macedonia acknowledges the importance of conducting effective controls at Border Control Posts to ensure market safety within the country.

b. Commission assessment

According to information provided by North Macedonia, its national legal framework is aligned with repealed Union legislation relevant for import controls, such as Directive 97/78/EC and Regulation (EC) No 882/2004. North Macedonia has **not aligned** its national legislation yet with the requirements of Regulation (EU) 2017/625 (‘ OCR’) which establishes the rules for the performance of official controls on consignments of animals and goods entering the Union. North Macedonia is fully committed to aligning with the requirements of the OCR and a draft Law is in preparation, planned to be adopted by 2026. Various draft book of rules and lists are also in preparation, to be adopted at the latest in 2025, in order to align with Union tertiary legislation, namely the delegated and implementing acts adopted on the basis of OCR empowerments that are relevant for import controls. As concerns animal health requirements for entry into the Union, and the movement and handling after entry of consignments of certain animals, germinal products and products of animal origin, *see section II.H import requirements for live animals and animal products*.

Regarding import controls, competent authorities have been designated, but more information is expected from North Macedonia on the organisation of official control tasks at border control posts and how an integrated approach to import controls in line with the OCR will be ensured. The Commission is unable to assess the adequacy of resources based on the current information. Details provided include rules for border controls, the national control plan (MANCP), monitoring plans, control procedures, IT systems (NFAP, INAP, EXIM), and cooperation with Customs authorities.

With respect to the IT systems, North Macedonia demonstrated that it has also achieved a high-level integration of EU IT tools that are available for the recording and exchange of information on official controls, as well as for certification purposes. Particularly, North Macedonia is actively using the following components of the Information Management System for Official Controls (IMSOC): ADIS, iRASFF and TRACES. The country employs TRACES platform for certification purposes for consignments of animals and products of animal origin exported to the EU and has actively engaged into the (optional) implementation the electronic certification feature which aims to facilitate official controls. Furthermore, the country has also expressed an interest to use the TRACES module for phytosanitary certification.

II.C. IDENTIFICATION AND REGISTRATION OF ANIMALS AND REGISTRATION OF THEIR MOVEMENTS

a. Country presentation

North Macedonia acknowledges that its current legal framework in this area aligns with repealed EU legislation. The country reports ongoing efforts to adopt new national animal health legislation to align with Regulation (EU) 2016/429 (AHL) and related delegated and implementing acts. The country identifies the animal identification and registration unit and the veterinary inspection department of the FVA as competent authorities, supported by authorized private veterinary practices and various operators such as farmers, slaughterhouses, pet shelters, livestock markets, and suppliers of identification means.

North Macedonia claims to operate a central electronic database (CEBD) for holding/establishment registration, animal identification, health status records, movement registrations, censuses, on-spot controls (currently for pigs), and farm categorization based on biosecurity measures. They state implementation of EU regulations on beef labelling is ongoing, with small ruminants registered since 2008 and pigs since 2013. On-spot controls for cattle, sheep, goats, and pigs are reportedly conducted based on risk analysis criteria.

According to North Macedonia, equid meat is not used human consumption, and all equids are identified with microchips and registered in the CEBD, and private veterinary practices are required to conduct IEA testing in case of a negative testing result allowing equid movements between holdings. Pet owners are said to be obligated to microchip and passport their animals within six months of birth. Plans include implementing new software with FAO by 2027 and achieving full alignment with Animal Health Law (EU) 2016/429 and its delegated and implementing acts by the same year.

b. Commission assessment

North Macedonia's current national legislation, encompassing primary and secondary laws covering all aspects of animal identification and registration (I/R), aligns with the repealed EU legislation, but efforts are underway to align it with current EU standards by 2027. This includes relevant provisions of Regulation (EU) 2016/429 (‘Animal Health Law’), Commission Delegated Regulation (EU) 2019/2035, Commission Implementing Regulation (EU) 2021/520, and for equine animals, Commission Implementing Regulation (EU) 2021/963.

The country maintains a comprehensive system for identifying and registering bovine, ovine, caprine, and porcine animals, employing species-specific means of identification such as ear tags, tattoos, and transponders. Record-keeping at the holding level and a national database for movement documentation are in place. However, practical details on identification and registration were not sufficiently provided, posing challenges for assessment. North Macedonia asserts that controls are conducted properly, but without reported outcomes, it is unclear where compliance falls short. Concerns arise about the reliability of the national database, evident in discrepancies between reported figures on animal identification and actual national livestock numbers.

Equine animals in North Macedonia are identified through transponder implantation. However, to comply fully with Article 114 of the Animal Health Law, the system should also include a unique code compatible with the universal equine life number (UELN) and an identification document. The country has a computer database for registered equine holdings but acknowledges a low level of alignment with EU standards and pledges to address deficiencies. Similar alignment issues are noted for camelid and cervid animals, although North Macedonia reports no substantial populations of these species in the country.

II.D. CONTROL MEASURES FOR ANIMAL DISEASES

a. Country presentation

North Macedonia's Food and Veterinary Agency (FVA) oversees animal disease control through its Departments for Inspection and Supervision and Animal Health and Welfare. The latter handles policymaking, epidemiological monitoring, data analysis, disease notification, and control and eradication programs.

The country regularly notifies disease outbreaks via ADIS and WAHIS, with mandatory reporting of disease suspicion by operators, transporters, veterinarians, and laboratories. These notifications are regulated by rules claimed to be fully harmonized with the EU *acquis*. The country implements control and eradication programs, surveillance, and sample-based monitoring. It acknowledges that contingency plans are being updated. The current national legal framework aligns with repealed EU legislation, but plans are in place to align with the current EU *acquis* by 2025-2026, including on antimicrobial resistance.

The country reports it is not yet implementing new legislation on African Swine Fever (ASF) and currently uses 3 km and 10 km control measures, with regionalisation measures in place but not for ASF. For Newcastle disease, it conducts vaccinations and has a Book of Rules and contingency plans. Avian Influenza (AI) control is through passive surveillance, with only High Pathogen AI classified as Category A, though Low Pathogen AI tests are also conducted. North Macedonia informed that the country is on the list of countries free from *peste des petits ruminants* (PPR) according to WOAH, Foot and Mouth Disease (FMD) and African Horse Sickness (AHS). For aquatic animal diseases, the country states its national secondary legislation is aligned but acknowledges the need for improved biosecurity measures and uniform enforcement in aquaculture establishments. Regarding salmonellosis, the country reports full legislative alignment. Responsibility is shared across stakeholders in the food chain. 56 poultry farms are authorized to market eggs, with salmonellosis samples recorded in the FVA information system. Surveillance includes regular and emergency inspections.

North Macedonia is committed to align its rules to the Regulation (EU) 2016/429 ('Animal Health Law') and to the Delegated regulation (EU) 2020/687 by 2026.

Continued set of actions is implemented in the country to combat rabies in the wild fauna, including oral rabies vaccination campaigns, monitoring of such activities and surveillance.

b. Commission assessment

For the rules applicable to prevent and control category A diseases, the country has **not yet aligned** its legislation with the requirements of Regulation (EU) 2016/429 ('Animal Health Law') and Delegated Regulation (EU) 2020/687. Currently, the country uses specific legislation for the surveillance and control of Avian Influenza and for the control of Newcastle Disease that is based on the old EU legislation, no longer in force since April 2021.

With regard to active surveillance for avian influenza in poultry, in the last years (2019-2020) the country has targeted laying hen establishments, focusing the diagnostic methods on serology. This is diverging from the EU approach in accordance with the Delegated Regulation (EU) 2020/689, where

Union Surveillance Programme for avian influenza requires mainly the use of virological methods. Therefore, the country will have to pay particular attention to these specificities when aligning the surveillance for avian influenza to the EU requirements, and to ensure as well sufficient laboratory capacity to perform the diagnostic for early detection of highly pathogenic avian influenza.

. Efforts as regards passive surveillance on indicator animals need to be reinforced. Without such data, it is difficult to take informed decision on how to commensurate oral rabies vaccination efforts and it is necessary to continue with such efforts. Plans for 2024 onwards in terms of vaccination were not clear and need attention.

II.E. INTRA-EU TRADE IN LIVE ANIMALS SEMEN, OVA AND EMBRYOS

a. Country presentation

North Macedonia reports that the FVA departments for animal health and welfare and inspection and supervision, along with private veterinary practices and the veterinary laboratory at the Skopje Faculty of Veterinary Medicine, form the institutional framework. The country is preparing new regulations as its current legal framework aligns with repealed EU legislation for import controls.

National requirements for animal trade within North Macedonia include animal identification, holding registration/approval, clinical examination, and health certification for animal movement. Registration is mandatory for holdings with bovine, ovine, caprine, swine, equine animals, and bees. Movement documents, such as health certificates and cattle passports, are compulsory. The central holding register is part of the central database.

The Veterinary Health Law mandates surveillance obligations for operators, private and official veterinarians, and the National Laboratory, which has 175 methods within the scope of its accreditation. The country reports several control mechanisms for animal movements, with disease notifications through ADIS and WAHIS. Legal requirements include health certificates and movement documents issued by authorities. Only animals from farms not under movement restrictions, clinically checked before movement, and compliant with identification and health status requirements are eligible for movement. The country has two Books of Rules harmonized with the EU *acquis* on trade and import of semen, ova, and embryos. The country plans to transpose several Commission Delegated and Implementing regulations on entry, movement, and handling of certain animals, germinal products, and products of animal origin in 2026.

b. Commission assessment

For intra-EU trade in live animals (including both terrestrial and aquatic), semen, ova and embryos, the country has **not yet aligned** its legislation with the requirements of Regulation (EU) 2016/429 ('Animal Health Law') and delegated and implementing acts adopted on its basis (chiefly CDR (EU) 2019/2035, 2020/686, 2020/688, 2020/691 and 2020/990). North Macedonia is fully committed to aligning with the referred rules in the near future. As regards the substance, the country is rather well aware of that legislation and the details most relevant and/or important for them (e.g. assembly centres, germinal product establishments etc.). More attention should be put on minor aspects or species(e.g. no keeping of camelids, cervids, very few equine animals, etc.).

The frequent use of private vets for official tasks highlights the lack of a robust delegation system in compliance with Regulation (EU) 2017/625and continuous enforcement and verification of delegation conditions, that should therefore be established.. Other enforcement challenges to be addressed include ensuring stakeholder awareness and understanding of their roles under new legislation. The country is already aligning requirements on other animal health areas and animal disease control measures. Timely and adequate progress on those areas is a pre-requisite for real alignment on the intra-EU trade area and if progress on those areas is successful, that should make alignment on intra-EU trade area relatively smooth. Even if those are delayed, or suboptimum, subsequent delay on intra-EU trade area carries

relatively small regulatory risk for the EU as the consequences are mainly related to no or little EU market access to stakeholders of North Macedonia, rather than to animal or human health risks to the EU market.

II.F. NON-COMMERCIAL MOVEMENTS OF PET ANIMALS

a. Country presentation

North Macedonia has aligned Regulation (EU) 576/2013, Regulation (EU) 577/2013, Regulation (EU) 2019/2122, and Decision 2007/25/EC into its national legislative framework. The country plans to adopt new national rules to align with Regulation (EU) 2016/429 (AHL) in 2025 and Regulation (EU) 2021/1933 and Regulation (EU) 2021/1938 in 2026. According to the country, the Custom Directorate and the Food and Veterinary Agency are the competent authorities involved in controlling pet animals entering North Macedonia. The country states that all pet animals must be marked and receive anti-rabies vaccination. When entering through one of the Traveller's Points of Entry designated by the Custom Authority, all pet animals must be accompanied by an identification document issued by an official veterinarian.

b. Commission assessment

Regarding the non-commercial movement of pet animals, North Macedonia **has not yet aligned** its legislation with Regulation (EU) 2016/429 (clarifications in definitions) and Commission Regulation (EU) 2018/772 (preventive health measures related to Echinococcus multilocularis). The country appears to be aware of this legislation and has indicated plans to align its national legislation with these regulations by mid-2025 and accession date, respectively.

Certain aspects of the country's legal framework for the non-commercial movement of pet animals need to be revised before April 2026 and aligned with the Animal Health Law. . Rules under Regulation 576/2013 are valid until 21/4/2026 and will be replaced by rules adopted under AHL. North Macedonia has also aligned with Decision 2007/25/EC which is no longer in force.

North Macedonia has in place the main elements and structures for controlling non-commercial movement of pet animals. Documentary and identity checks are carried out in designed travellers' points of entry under the responsibility of Custom services. Identification documents (pet passports, animal health certificates) required for such movement have been introduced in the national legal framework. Responsibilities for the issuance of such identification documents seem adequate. Marking of pet animals has been made mandatory with a compulsory registration of all animals in the relevant national database.

II.G. PROHIBITION OF SUBSTANCES AND CONTROL OF RESIDUES

a. Country presentation

North Macedonia reports that the FVA's Department for Veterinary Public Health and the Department for Inspection Supervision are responsible for monitoring residues of pharmacologically active substances, pesticides residues, and contaminants. The University Ss. Cyril and Methodius, Faculty of Veterinary Medicine, is designated laboratory for sample analysis, supported by subcontractors: the Institute of Meat Hygiene and Technology (INMES) in Serbia and Eurofins Hos Testing Bulgaria EOOD. According to the country, 80% of analyses are conducted domestically, with 20% outsourced. The country has no plans to designate additional subcontractors, and the national laboratory is reportedly expanding its methods to cover more analyses in 2024.

North Macedonia informed that the rulebook on the method of performing monitoring and control of the presence of residues and contaminants in live animals and food of animal origin, the method of performing official controls and procedures for monitoring and control of residues and unauthorized substances measures and measures to be taken in case of doubt and on a positive finding of the presence

of residues and prohibited substances ("Official Gazette of Republic of North Macedonia" no. 238/23) is fully in line with the Council Regulation (EEC) 315/93, Council Directive 96/22/EC, Directive 2003/74/EC, Directive 2008/97/EC, Commission Regulation (EC) 124/2009, Regulation (EC) 470/2009, Regulation (EC) 596/2009, Commission Regulation (EU) 610/2012, Commission Implementing Regulation (EU) 2018/470, Commission Regulation (EU) 2019/1871, Commission Delegated Regulation (EU) 2019/2090, Commission Regulation (EU) 2020/499, Commission Implementing Regulation (EU) 2021/808, Commission Implementing Regulation (EU) 2021/1355, Commission Delegated Regulation (EU) 2021/2244, Commission Delegated Regulation (EU) 2022/931, Commission Implementing Regulation (EU) 2022/932, Commission Delegated Regulation (EU) 2022/1644, Commission Implementing Regulation (EU) 2022/1646 and Commission Regulation (EU) 2023/411.

The country also shared that the Rulebook for sampling and analysis methods, including confirmation methods or reference methods used in case of dispute (super analysis), performance criteria, analysis parameters, uncertainty of the method and procedures for confirmation of the methods and the rules for interpreting results of pharmacology active substances ("Official Gazette of Republic of North Macedonia" no. 238/23) is in line with Commission Implementing Regulation (EU) 2021/808.

The applicable MRLs for pharmacological active substance are given in the List of pharmacological substances approved for use in veterinary medicine ("Official Gazette of Republic of North Macedonia" no. 118/24), that is aligned with Annex I of the Commission Regulation (EU) 37/2010. The list of prohibited substances from Annex II of Commission Regulation (EU) 37/2010 and Council Directive 96/22/EC of 29 April 1996 are fully transposed in the List of substances and products that are prohibited for use in animals whose products are used in human nutrition medicine ("Official Gazette of Republic of North Macedonia" no. 237/23).

For implementation and enforcement, the FVA sends results from the risk-based production plan to EFSA annually and production data to the European Commission. North Macedonia plans to engage further with the Committee for Medicinal Products for Veterinary Use at the European Medicines Agency and the Standing Committee on Plants, Animals, Food, and Feed.

b. Commission assessment

North Macedonia has **highly aligned** the EU legislation on prohibited substances and control of residues. The parts not yet aligned are mainly related to the procedures relevant to the Member States exclusively which will be fully aligned at the latest by the day of its full EU membership.

North Macedonia has **highly aligned** its legislation with the requirements on control plans on pharmacologically active substances and residues thereof. The country already cooperates with EFSA as regards the submission of the risk-based control plan for own production and of the results from official controls on residues. The country has committed to continue working on the process of validation of more analytical methods for analyses of pharmacologically active substances and residues thereof.

II.H. IMPORT REQUIREMENTS FOR LIVE ANIMALS AND ANIMAL PRODUCTS

a. Country presentation

North Macedonia indicates that it has not yet aligned its legislation with the EU requirements laid down in Regulation (EU) 2016/429 ('Animal Health Law') and Commission Delegated Regulation (EU) 2020/692 concerning animal health requirements for entry into the Union and the movement and handling after entry of consignments of certain animals, germinal products, and products of animal origin. The country indicates plans to align its national legislation with the Delegated Regulation by 2026

The country reports that it is in the process of aligning several relevant EU implementing regulations (Implementing Regulations (EU) 2020/2235, 2020/2236, 2021/403, 2021/404), which relate to entry requirements, including the listing of third countries and model certificates. The country mentions that, apart from imports allowed from EU-listed third countries, specific arrangements are in place allowing imports of certain commodities from Central European Free Trade Agreement (CEFTA) countries, based on import risk analysis and individual permits for specific consignments. The list of third countries authorized for imports into North Macedonia is approved by the director of the Food and Veterinary Agency.

b. Commission assessment

North Macedonia has **not yet aligned** with Regulation (EU) 2016/429 ('Animal Health Law') and Commission Delegated Regulation (EU) 2020/692.

To ensure a credible and effective import control system from an animal health perspective, it is imperative that the country swiftly completes the alignment of its animal health requirements with Regulation (EU) 2016/429, Delegated Regulation (EU) 2020/692, and associated EU legislation. This alignment is essential not only for safeguarding animal health within its borders but also for facilitating smoother trade relations with the EU by meeting stringent EU standards.

II.I. EU INTERNATIONAL AGREEMENTS

a. Country presentation

North Macedonia presented its existing bilateral and multilateral agreements, acknowledging that these are not in line with the EU requirements and informs that these will be terminated or modified in due time before accession.

b. Commission assessment

Part of North Macedonia's bilateral and multilateral agreements are not in line with EU requirements and contain elements which are part of the Commission competences. North Macedonia will require more persistent preparation for the process with a clear action plan.

II.J. ANIMAL WELFARE

a. Country presentation

North Macedonia reports that the FVA's Department for Animal Health and Welfare of Animals (Animal welfare unit is composed only by two employees) is responsible for animal welfare. The country reports on its plans to increase the number to four employees and informs that there are forty-four official veterinarians supporting them. The national legal framework in the country is the Law on veterinary health ("Official Gazette" No. 123/2015,154/2015 and 53/2016) and the Law on protection and welfare of animals ("Official Gazette" No. 149/2014, 53/2016, 149/2015 and 65/2023) and its secondary legislation.

North Macedonia asserts that it has **partially aligned** Directive 2010/63/EU into national law, excluding annexes, regarding the protection of animals used for scientific purposes. The country reports that has **full alignment** with EU legislation on animal welfare during transportation, as well as in slaughterhouses and killing processes. Wild animals are banned from use in circus performances under national law, with corresponding penalties outlined.

Official controls are reportedly risk-based and executed according to annual plans, with control lists used by veterinarians during inspections of poultry, bovine, and pig farms, approved animal transporters, and slaughterhouses. Audit lists are also employed for central-level inspections. The

country has 166 approved transporters for journeys under eight hours, five for long journeys, and six certificates for transport means, along with 346 certificates of competence. The country operates a National Committee for Animal Protection and Welfare, comprising nine members who offer advice and technical support on animal welfare matters as requested by the competent authority. Approximately 75% of laying hen holdings still use basic cages, acknowledging an issue with cage conditions. The country plans to phase out barren cages only upon EU accession. Eggs are marked to indicate the type of housing system, with "3" signifying caged hens. The country aims to establish a sustainable animal welfare system between 2024 and 2027.

b. Commission assessment

North Macedonia has a **partial level of alignment** of the EU animal welfare *acquis* into national legislation. The details are available in the national book of rules; however, these new rules must be analysed. There are challenges with the implementation of some requirements such as the routine tail docking of pigs, the transition to enriched cages for laying hens and some other.

The current staff of the Competent Authority in charge of animal welfare is insufficient to ensure proper implementation of the new animal welfare legislation at every level, in the national context. The lack of sufficient and well-trained staff is known to be a key factor having direct impact on the performance of the official controls on animal welfare at farm, during transport and at slaughter.

In the area of animal welfare, apart from the main role of Competent Authority, there is also a wide spectrum of stakeholders having responsibilities in improving animal welfare. Therefore, large awareness campaign aimed at informing stakeholders engaged in animal welfare is needed. Such awareness is expected to facilitate the long and not easy process of implementation and enforcement of the new legislation on animal welfare.

North Macedonia needs to ensure adequate and well-trained staff in order to enable the full implementation of the EU animal welfare *acquis*. Sufficient staff will also be needed to make sure that the complex animal welfare legislation is enforced by carrying out risk based and efficient official controls at every level.

Another recommendation is to ensure appropriate awareness campaign and targeted trainings (when relevant) of all stakeholders playing a role in the implementation of the animal welfare rules. North Macedonia must ensure that the entire body of the EU animal welfare legislation is complied with before accession, including in the areas where there are recurrent compliance problems (e.g. routine taildocking of pigs). Therefore, it is recommended to provide action plans to remedy recurrent shortcomings and plans to transition to the EU rules, with all investments needed for full compliance.

II.K. ZOOTECHNICS

a. Country presentation

North Macedonia reports being aligned with Regulation (EU) 2016/1012 on zootechnical and genealogical conditions for the breeding, trade in and entry into the Union of purebred breeding animals, hybrid breeding pigs and the germinal products thereof in its Law on Zootechnics (“Official Gazette” no.87/23. The country reports that the competent authority for creating policies in the field of zootechnics is the Ministry of Agriculture, Forestry and Water Economy (WAFWE). In addition, the State Inspectorate for Agriculture performs inspection supervision and the FVA also supports with the department of state veterinary inspection at border inspection (with 23 official veterinarians). Finally, the country reports to have an Animal Husbandry Council (nine members from different institutions) advising the Minister in this field.

North Macedonia reports that has fully aligned the following EU regulations with several by-laws stemming from the Law on Zootechnics: annex I,II,III,IV of Regulation(EU) 2016/1012, Regulation

(EU) 20 Regulations (EU) 2017/717, (EU) 2020/602, (EU) 2021/761 Regulation (EU) 2017/716, Regulation (EU) 2017/1940, Regulation (EU) 2017/1422 and Regulation (EU) 2022/2077.

b. Commission assessment

North Macedonia **has a partial level of alignment** with Regulation (EU) 2016/1012.

North Macedonia has appointed competent authorities responsible for zootechnics, including those for official controls in zootechnical field, and has necessary organisational structures for carrying out the tasks. The country is now in a process of re-recognition of breeding organisations and re-approval of breeding programmes based on its new zootechnical legislation in line with Regulation (EU) 2016/1012 (which were previously operating in accordance with old North Macedonia zootechnical legislation and now are withdrawn as that legislation ceased to apply). That will be achieved by 2025. Additionally, the country should establish a cooperation with two EU reference centres on zootechnics (https://interbull.org/ib/eurc and https://www.eurc-eab.eu/).

II.L. VETERINARY EXPENDITURES

a. Country presentation

North Macedonia reports that its veterinary expenditure framework relies primarily on national government allocations, encompassing funding for agriculture, food safety, and veterinary services. These funds support disease prevention, vaccination programs, and emergency responses, alongside initiatives for animal welfare and public health. Additional financial support may come from international organizations, grants, and loans to bolster veterinary programs and infrastructure. The country acknowledges resource constraints to undertake a comprehensive veterinary services and infrastructure modernization.

b. Commission assessment

North Macedonia is not currently part of the EU support scheme; however, ongoing EU support projects are helping in gaining necessary experience and administrative capacities. Nonetheless, the country needs to identify the structures responsible for managing EU veterinary expenditures.

II.M. SUMMARY OF MAIN FINDINGS – VETERINARY POLICY

Overall, North Macedonia has a **partial level of alignment** with the EU veterinary policy *acquis*. While its national legislation is **partially** aligned with repealed EU laws, significant gaps remain. Specifically, North Macedonia has achieved a partial level of alignment with Regulation (EU) 2016/1012 on zootechnical and genealogical conditions for purebred breeding animals and hybrid breeding pigs. Its legislation is only partially aligned with Directive 2010/63/EU on the protection of animals used for scientific purposes, and it **has not yet aligned** with Regulation (EU) 2016/429 on Animal Health (the AHL), Regulation (EU) 2017/625 ('the OCR') for official controls on consignments entering the Union, nor with several delegated and implementing acts adopted on the basis of the AHL (e.g. Delegated Regulation (EU) 2020/687 on the prevention and control of certain listed diseases, alongside other implementing and delegated acts).

III. PLACING ON THE MARKET OF FOOD, FEED AND ANIMAL PRODUCTS

III.A. HYGIENE RULES

a. Country presentation

The Food and Veterinary Agency (FVA) serves as the competent authority overseeing hygiene rules through various departments: veterinary public health, food of non-animal origin, inspection supervision, and designated laboratories (University Ss Cyril and Methodius, Faculty of Veterinary

Medicine Skopje for food of animal origin, and FOOD LAB for food of non-animal origin). The national legal framework of North Macedonia is aligned with EU *acquis*, primarily with Regulation (EC) No 852/2004 on the hygiene of foodstuffs, aligned into book of rules covering general requirements for primary production, food safety laws, and specific guidelines such as HACCP principles, production hygiene for food of animal origin, and water safety. Regulation (EC) 2073/2005 on microbiological criteria for foodstuff is fully aligned, as well as supported by monitoring plans and guidelines. However, the country has yet to align with Regulation (EC) 2021/382 on food allergen management, redistribution of food, and food safety culture, as well as Regulation (EU) 2010/2013 on the approval of establishments producing sprouts.

Regarding Regulation (EC) 852/2004 on food hygiene, in relation to the Regulation (EC) 2021/382 on food allergen management, redistribution of food, and food safety culture, the mentioned regulation has been transposed into an amendment to the Rulebook on general requirements for primary production and related operations as well as general requirements for food („Official Gazette" No. 12/12, 236/20) expected to be adopted by 2025.b. Commission assessment

North Macedonia is **partially aligned** with EU *acquis*, the Regulation (EC) No 852/2004 on the hygiene of foodstuffs as well as general requirements for food and in the Food Safety Law. However, rules on food allergen management, redistribution of food and food safety culture are still not aligned. The registration and approval of food operators is carried out through the Information system of the FVA. The Commission requested North Macedonia to clarify the rules for the approval and registration of the food business operators. Regulation (EC) 2073/2005 on microbiological criteria for foodstuff is aligned. In addition, the country is not yet aligned either with Regulation (EU) 2010/2013 on the approval of establishments producing sprouts. Alignment to the relevant EU *acquis* is planned to be adopted by 2025. The Salmonella control Regulation (Regulation (EC) No 2160/2003), aligned for all poultry in North Macedonia, requires that the national control programmes are submitted to the Commission for approval; only a programme for laying hens has been received and approved by the Commission.

III.B. SPECIFIC RULES FOR ANIMAL PRODUCTS

a. Country presentation

The Food and Veterinary Agency (FVA) in North Macedonia functions as the competent authority overseeing specific rules for animal products through departments such as veterinary public health, animal health and welfare, and EU and international cooperation. The country reports full alignment of its national legislation with Regulation (EU) 2016/429 on Animal Health Law, incorporated into its Veterinary Health Law (2016 amendment) and Food Safety Law (2023 amendment). Regulation (EU) No 853/2004 on specific hygiene rules for food of animal origin is fully aligned into the Food Safety Law and associated Book of Rules, including recent amendments (Regulations 32021R1374, 32022R2258) in the final adoption stage. However, Directive 2004/41/EC, Regulation (EC) 1688/2005, and implementing Regulations (EU) 427/2012, 2018/307, and 2021/477 are not yet aligned. Regulations (EC) 2160/2003, 517/2003, and 200/2010 are aligned. Regulation (EC) 2074/2005 is aligned, covering testing methods for marine biotoxins and milk. Regulation (EC) 101/2013 on lactic acid use for reducing microbiological contamination on bovine carcasses is not aligned. Implementation involves dual procedures for establishment and food business operator registration and approval, with local-level registration and central-level approval. Import policies currently permit imports from specific third countries and establishments not on the EU list, to be amended upon accession. The country plans to fully transpose the remaining EU *acquis* on specific animal product rules by 2026.

b. Commission assessment

North Macedonia **is partially aligned** with Regulation (EU) No 853/2004 on specific hygiene rules for food of animal origin in its Food Safety Law. However, some amendments to Regulation 853/2004 are

still not aligned. Regulation (EC) 2074/2005 is aligned, however Regulation (EC) 101/2013 concerning the use of lactic acid to reduce microbiological surface contamination on bovine carcasses is not. In terms of implementation and enforcement, North Macedonia has in place procedures for registration and approval of establishments and food business operators. The system is quite complex. Concerning imports of animal origin, North Macedonia currently allows imports from certain third countries and establishments which are not listed in the EU list. This will have to be amended upon accession. The missing EU *acquis* on specific rules for animal products should be aligned by 2026 putting in place a simpler and clear system for registration/approval of food business operator establishments.

III.C. SPECIFIC CONTROL RULES FOR ANIMAL PRODUCTS

a. **Country presentation**

The Food and Veterinary Agency (FVA) in North Macedonia is the competent authority overseeing specific control rules for animal products through departments such as veterinary public health (staffed by 12 employees), animal health and welfare, EU and international cooperation, inspection supervision at both central and local levels, and the designated laboratory at the University "St. Cyril and Methodius", Faculty of Veterinary Medicine Skopje. In terms of legislative alignment, Regulation (EC) 407/2009 on residue limits of pharmacologically active substances in foodstuffs of animal origin is partially aligned in a pending book of rules. Regulation (EC) 2074/2005 on implementing measures for certain products is fully aligned with the Food Safety Law (2023 amendment) and specific book of rules. Regulation (EU) 37/2010 on pharmacologically active substances and Commission Implementing Regulation (EU) 2015/1375 on official controls for Trichinella in meat are fully aligned, but several other Regulations and Implementing Regulations are yet to be aligned. Implementation involves monitoring plans and an annual order outlining veterinary measures and controls by food operators and official veterinarians to protect public health from contaminants or residues. Ante-mortem and post-mortem inspections at local levels are conducted by official veterinarians with support from auxiliaries. Full alignment with EU legislation is targeted for 2026, alongside plans to enhance statistical data collection and administrative capacity.

b. Commission assessment

The legislation on residue limits of pharmacologically active substances in foodstuffs of animal origin is partially aligned and still not adopted. Regulation (EC) 2074/2005 is fully aligned and aligned in the Food Safety Law. Regulation (EU) 37/2010 on pharmacologically active substances and their classification regarding maximum residue limits in foodstuffs of animal origin is aligned as well as the Commission Implementing Regulation (EU) 2015/1375 laying down specific rules on official controls for Trichinella in meat. Ante-mortem and post-mortem controls of animals for slaughter are carried out by official veterinarians at the local level, which are supported by official auxiliaries.

Rules on the implementation of monitoring plans and controls on contaminants or residues in animals or products of animal origin are carried out by food operators and official veterinarians. This is the sector where the competent authorities should focus more their efforts. Full alignment with EU legislation is expected by 2026.

III.D. RULES FOR ANIMAL BY-PRODUCTS

a. Country presentation

The Food and Veterinary Agency (FVA) is the competent authority in North Macedonia, overseeing specific control rules for animal products through departments like veterinary public health (including the unit for animal by-products), inspection supervision (at both central and border control posts), and the designated laboratory at the University "St. Cyril and Methodius", Faculty of Veterinary Medicine Skopje. In terms of legislative alignment, the national Law for animal by-products adopted in 2023 and associated Book of Rules align with Regulation (EU) 1069/2009, Regulation (EU) 142/2011, and Regulation (EC) 999/2001. The country plans to align with amendments to Regulation (EU) 142/2011

and Regulation (EC) 999/2001 and with Commission Delegated Regulation (EU) 2023/1605 by 2025. Regarding implementation, procedures are in place for registering and approving operators and establishments handling animal by-products, along with audit systems and annual monitoring plans based on risk. Current regulations are largely harmonized with past EU legislation, though full transposition for categories 1 and 2 of animal by-products awaits approval of rendering plants. Provisions on disposal and burial methods for animal by-products are not yet aligned; currently, large operators like slaughterhouses use concrete bunkers for disposal. North Macedonia imports animal by-products from 153 registered establishments, supported by two employees at border control posts. The country is in the process of establishing a national animal by-products management system and aims to enhance the efficiency and effectiveness of official controls and monitoring programs related to animal by-products.

b. Commission assessment

North Macedonia **has aligned its legislation** with the requirements of Regulation (EC) No 1069/2009 on the issue of animal by-products (ABP) not intended for human consumption, as well as with the requirements of Implementing Regulation (EU) No 142/2011. The latest amendments to these legislations are taken over gradually into the national law. However, the required processing of Category 1 and 2 materials is currently not possible because there is no rendering plant.

No or low implementation presents a significant risk for public and animal health, both in the country and in the EU. For ABP, proper implementation is dependent on significant investments for at least one rendering plant and collection vehicles. Currently, correct separation, collection, processing and/or disposal of ABPs is not implemented, as there is no rendering plant. There are concrete plans to build a rendering plant, funded by the EU and the World Bank and envisaged to start rendering in 2027. So far, the building permits are in the administrative procedure.

Implementing the rules takes long years in our experience even after proper legal framework is available and it is often not possible without public subsidies. Appropriate controls are necessary to ensure the rules are correctly followed.

All the above elements emphasise the necessity for the country to proceed with the building of the rendering plant as soon as possible, and additionally to build up the whole system for the collection, processing and disposal of ABP within the rules mentioned above. Within the pre-accession period, the existing non-compliances have to be overcome by substantial capital expenditure in the sector, for establishments, means of transport and manpower, as well as training for staff and operators.

III.E. FUNDING OF CHECKS

a. Country presentation

The funding of checks is reported to be regulated by the Food Safety Law (amendment) 2023 article 24. The funds for financing the work of the FVA are provided by the budget of North Macedonia, the own income of the Agency, donations and other sources established by law and the budget of the European Union in accordance with the criteria prescribed in the bilateral agreements concluded between North Macedonia and the European Union. The fees are paid by food and feed operators to cover the costs of implementing official controls and the amount of fees is determined based on the actual costs necessary for their implementation. Fees will not be refunded directly or indirectly except when overpaid.

b. Commission assessment

The implementation of OCR requirements regarding the system of financing of official controls in North Macedonia is not clear, as only generic information was presented. As a consequence, the Commission has requested details on the activities subject to mandatory fees, a translation of the

government decisions in force and a description of the calculation method of actual costs that the competent authorities are using.

North Macedonia must establish a system for the collection of fees and charges on a mandatory basis according to Article 79 of the OCR, with the methods described in Articles 81 and 82 of the OCR. Pursuant to Article 85 of the OCR, for all fees and charges imposed to the operators, established either under OCR or at a national level, the country must ensure transparency, and all the information must be made available to the public.

III.F. SPECIFIC RULES FOR FEED HYGIENE

a. Country presentation

The Food and Veterinary Agency (FVA) serves as the competent authority, and its feed safety and animal nutrition unit within the veterinary public health department is responsible for enforcing specific rules on feed hygiene, in collaboration with the Directorate of Inspection Supervision.

The country reports that Regulation (EC) 183/2005, which sets out requirements for feed hygiene, has been aligned and aligned into the national law on animal feed safety (amendment 2016), along with related book of rules covering animal feed operators across all stages of production, processing, and distribution, including hygienic practices for animal feeding. The country informs that an improved version of the Law on animal feed safety is currently undergoing the governmental procedure. Plans are in place to align with Regulation (EU) 2019/4 on the manufacture, placing on the market, and use of medicated feed by 2025-2026. Regarding implementation, enforcement, and track record, the country acknowledges the registration of 468 establishments as feed business operators, with 24 of them approved. The country has established a book of rules outlining methods and procedures for registering legal entities importing animal feed, noting the existence of 237 animal feed importers. Additionally, national procedures, checklists, guidance, and annual monitoring programs are in place to ensure feed safety.

North Macedonia states that its Book of rules on requirements for animal feed operators at any stage of production, processing and distribution of animal feed, as well as hygienic requirements for good animal feeding practices (part on Law on animal feed safety) is compliant with Regulation (EC) No 183/2005 laying down requirements for feed hygiene.

b. Commission assessment

Further alignment of the country's regulatory framework is needed on certain requirements included in - or amendments brought to - Regulation (EC) No 183/2005, in particular by Regulation (EC) No 141/2007 on approval of certain feed business establishments and Regulation (EU) 2019/4 concerning medicated feed..

The country is organised for the implementation and enforcement of the feed hygiene requirements. Remaining alignment to be completed will require adaptation of implementation and enforcement arrangements. The Commission requested more detailed data on the level of resources allocated to implementation/enforcement capacity in the specific area of Feed legislation.

III.G. SUMMARY OF MAIN FINDINGS – PLACING ON THE MARKET OF FOOD, FEED AND ANIMAL PRODUCTS

Overall, North Macedonia achieves **a partial level of alignment** with the EU *acquis* on placing on the market of food, feed and animal products.

The country's national legislation is fully aligned with Regulation (EC) 2073/2005 on microbiological criteria for foodstuffs, Regulation (EC) No 1069/2009 on animal by-products not intended for human consumption, and Implementing Regulation (EU) No 142/2011. Regulation (EC) No 183/2005 on feed hygiene is highly aligned. North Macedonia's legislation is partially aligned with Regulation (EC) 852/2004 on the hygiene of foodstuffs and Regulation (EC) 407/2009 on residue limits of pharmacologically active substances in foodstuffs of animal origin. However, the country is not yet aligned with Regulation (EC) 2021/382, which amends the Annexes to Regulation (EU) 852/2004 regarding food allergen management, redistribution of food, and food safety culture. Additionally, Regulation (EU) 2010/2013 on the approval of establishments producing sprouts is also not aligned.

IV. FOOD SAFETY RULES

IV.A. LABELLING

a. Country presentation

North Macedonia reports to be fully aligned with Regulation (EC) 1169/2011 on food information for consumers and Regulation (EC) 178/2002 establishing the general principles and requirements of the food law in its national Law on Food Safety (amendment) 2023 and Book of rules on information related to food 150/2015. In addition, the country reports to have in place a consumer protection strategy and a food safety strategy 2021-2025. Within the FVA -competent authority-, the Safety of food of non-animal origin unit (which has 5 employees), of the food of non-animal origin department shares the work in this area with the unit for monitoring of food frauds (two employees) and the consumer protection unit of the professional support department (three employees). Finally, the State inspection for food of non-animal origin unit of the Inspection supervision department is involved in regular controls, food quality monitoring and online remote sales controls with 73 food inspectors and 112 official veterinarians. The Law on Food Safety (amendment) 2023 foresees penalties for inappropriate labelling of food.

North Macedonia declares to be fully aligned with Regulation (EC) 1924/2006 on nutrition and health claims made on food in its Food Safety Law (amendment) 2023 and Book of rules for nutritional and health claims for commercial purposes in labelling, presentation and advertising of food. In addition, the country reports to have in place national norms and procedures regarding the approval of nutritional and health claims, conferring authority to the FVA. Finally, the country states having a register in place of approved and unapproved health claims as well as a list of claims with stopped procedure. Within the FVA, the Safety of food of non-animal origin unit of the food of non-animal origin department shares the work in this area with the unit for monitoring of food frauds and the consumer protection unit of the professional support department. Finally, the State inspection for food o non-animal origin unit of the Inspection supervision department is as well involved.

Concerning the implementation, the competent authority has control measures in place in relation to fraud related to the labelling of health claims on food, notably inspection supervisions. Following the entry into force of the new Food Safety Law in 2023, North Macedonia will introduce a system of notification regarding nutritional and health claims within 2026. The system of notification regarding nutritional and health claims will be implemented by adopting the rulebooks.

b. Commission assessment

North Macedonia’s legislation is **partially aligned** with the requirements of Regulation (EU) No 1169/2011 as of 2015, and that do not face any significant challenges regarding implementation and enforcement. The country should align its national legislation with the daily reference intakes for vitamins, minerals, energy and selected nutrients other than vitamins and minerals provided for in Annex XIII to Regulation (EU) No 1169/2011.

Nutrition claims currently allowed to be made on products marketed in the country are the ones included in the Annex of Regulation (EC) No 1924/2006 and with regard to health claims, a register of authorised, non-authorised and 'on-hold' health claims is maintained in accordance with the EU Register of nutrition and health claims. Concerning implementation and enforcement, the country is following the requirements provided in Regulation (EC) No 1924/2006.

IV.B. FOOD ADDITIVES AND PURITY CRITERIA

a. Country presentation

North Macedonia acknowledges that its book of rules on additives in food production (114/2013) has not yet been harmonized with the latest amendments to EU Regulations, including Regulation (EC) No 1332/2008 on food enzymes, Regulation (EC) No 1333/2008 on food additives, and Regulation (EC) No 1334/2008 on flavourings and certain food ingredients with flavouring properties for use in and on foods. The country informs that it intends to align these rules with the new book of rules. Additionally, North Macedonia reports that its Rulebook on the specific requirements for extraction solvents used in food production is also not yet harmonized with Directive (2009/32/EC. Moreover, the Rulebook specifying criteria and requirements for the purity of additives in food (231/2021) is not aligned with Regulation (EU) No 231/2012, which lays down specifications for food additives listed in Annexes II and III to Regulation (EC) No 1333/2008, as well as Regulations 872/2012 and 321/2013. The country informs that the draft version of the new rulebooks on additives, flavourings and enzymes used in food production are already prepared and will be adopted soon.

In terms of institutional framework, North Macedonia states that the competent authority within the FVA is the Unit of Food for Special Nutritional Use, Fortified Food, Food Supplements, and Additives, which is part of the Department of Food of Non-Animal Origin. This unit, comprising three employees, oversees food additives, flavours, enzymes, and extraction solvents. Concerning implementation, continuous control of these aspects occurs during importation and within the domestic market by state food inspectors.

b. Commission assessment

North Macedonia's legislation on food additives **is partially aligned as the** latest amendments to the EU legislation are yet to be aligned. Nevertheless, the country intends to further align its legislation by adopting a new rulebook on food additives, the draft of which has already been prepared. Similarly, North Macedonia intends to align its national rulebook on food additive specifications. There are relevant institutions and general enforcement activities related to food improvement agents (food additives, enzymes, flavourings) and extraction solvents in place. Specific training of inspectors on food improvement agents should be put in place.

IV.C. FOOD ENZYMES

a. Country presentation

North Macedonia acknowledges that it has not yet harmonise its Book of Rules on additives used in food production 114/2013 with the latest amendments to EU Regulations Regulation (EC) No 1332/2008 on food enzymes. The country informs that it intends to align these rules with a new Book of Rules on food enzymes. *See section IV.B. food additives and purity criteria for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

North Macedonia's legislation on food enzymes has **not yet aligned** the latest amendments to the EU legislation.

IV.D. EXTRACTION SOLVENTS

a. Country presentation

North Macedonia acknowledges that it has not yet aligned its Book of rules on the specific requirements on extraction solvents that can be used in food production is neither harmonized with Directive 2009/32/EC. Nevertheless, North Macedonia intends to further align its legislation by amending the relevant national rulebook. *See section IV.B. food additives and purity criteria for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

North Macedonia has **not yet aligned** with the latest amendments to the EU legislation on extraction solvents.

IV.E. FOOD FLAVOURINGS

a. Country presentation

North Macedonia **has not yet aligned** its Book of Rules on additives used in food production 114/2013 with the latest amendments to Regulation (EC) No 1334/2008 on flavourings and certain food ingredients with flavouring properties for use in and on foods. It will align with a new book of rules on food flavourings. In addition, national legislation of North Macedonia is not harmonized with the Regulation 872/2012 on adopting the list of flavouring substances and Regulation 1321/2013. *See section IV.B. food additives and purity criteria for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

The legislation on food flavourings of North Macedonia **has a partial level of alignment**because ithas not yet aligned with the Union list of flavourings and source material (Annex I to R. 1334/2008 – Regulation 872/2012). North Macedonia has also not aligned the Union list of authorised smoke flavouring products (Regulation 1321/2013) but it is to be noted that all current entries have been deleted from the Union list by Commission Implementing Regulation (EU) 2024/2067 (but can continued to be used until 1 July 2029).

North Macedonia intends to further align its legislation by adopting a new rulebook on food flavourings. The existing and proposed legislation of the North Macedonia needs to be checked to assess the level of alignment with the EU legislation.

IV.F. FOOD CONTACT MATERIALS

a. Country presentation

North Macedonia is aligned with Regulation (EC) 1935/2004 on materials and articles intended to come into contact with food and Regulation (EC) 2023/2006 on good manufacturing practice for materials and articles intended to come into contact with food but also, Regulation (EU) 10/2011 on plastic materials, , Regulation (EC) 450/2009 on active and intelligent materials, Regulation (EU) 2018/213 on the use of bisphenol A in varnishes and coatings intended to come into contact with food and other relevant EU *acquis* in this area. The above are said to be aligned by the Food Safety Law and the book of rules on general safety requirements for materials and articles that come into contact with food 160/12, Book of Rules on the special requirements for the safety of plastic materials and products that come into contact with food 144/13 and Book of rules on the special requirements for the safety of ceramic products that come into contact with food 1/13 among others presented. Regulation (EC) 2022/1616 on recycled plastic materials is set to be aligned by 2026.

In terms of institutional framework, the competent authority within the FVA of North Macedonia is the Unit of for materials and products that come into contact with food, which is part the Department of Food of Non-Animal Origin. This unit, comprising four employees, oversees food contact materials.

North Macedonia has a number of guidelines, brochures, checklists and procedures in place, intended at enforcing the legislation in this area. The four employees of the FVA do not participate in inspections, because controls are done by the inspection department. The FVA cooperates with the technical faculty for the agriculture technique and others. The Institute of Public Health has an accredited method for total migration for plastics and Food Lab has an accredited method for total and specific migration. There are no laboratories with accredited methods for plastics (overall and specific migration), while there are accredited laboratory analyses for ceramics, PAAs in plastics, Pb and Cd migration in glass. North Macedonia plans that all public laboratories gain the accreditation to run tests and analysis on food contact materials. Currently, most of these materials are imported, not produced, but inspectors control both. There are 72 inspectors in total, carrying out controls of food and food contact material controls. North Macedonia plans to align EU Regulation 2022/1616 with national legislation by 2026 as well as to increase the number of employees.

b. Commission assessment

North Macedonia's legislation is **not yet aligned** with the latest EU legislation in this area. To note that Regulation (EU) 2018/213 has been repealed by Commission Regulation (EU) 2024/3190.

IV.G. FOOD SUPPLEMENTS AND FOOD FORTIFICATION

a. Country presentation

North Macedonia's national legislation for food supplements and fortified foods is not yet aligned with the latest EU requirements. The country plans to achieve alignment with new rulebooks scheduled for adoption, which are drafted and are in government for adoption in 2026. The responsible authority for overseeing these areas is the Unit of Food for Special Nutritional Use, Fortified Food, Food Supplements, and Additives within the Department of Food of Non-Animal Origin at the FVA, comprising six employees. The procedure for placing food supplements and fortified foods on the market involves submitting a compliance opinion request to the FVA by the Food Business Operator (FBO). Approved products are then registered in the electronic Register of products meeting special safety requirements as food supplements. Continuous control ensures chemical, physical, microbiological safety, and guards against consumer fraud. Future plans include harmonizing the approval procedures for food supplements. Similar procedures and controls apply to fortified foods, with oversight conducted during importation and within the domestic market by state authorities. With regards to fortified food, North Macedonia has not yet aligned its national legislation with the latest amendment of the EU *acquis.*

b. Commission assessment

North Macedonia **has not yet aligned** its legislation with the requirements of Directive 2002/46/EC on food supplements and of Regulation (EC) No 1925/2006 on the addition of vitamins and minerals and of certain other substances to foods. National legislation provides for the prior approval of food supplements and fortified foods, before their placement in the national market, whereas under EU law such products are considered foods, and it is the responsibility of the food business operator to ensure compliance with the Union provisions. National legislation also provides for lists of permitted and prohibited substances that can be used in the production of food supplements and fortified foods. The country announced that it intends to amend its national legislation to repeal its prior approval procedure and instead introduce a notification procedure, in accordance with Union law.

IV.H. FOOD FOR SPECIFIC GROUPS

a. Country presentation

North Macedonia has not yet aligned with Regulation (EU) 609/2013, Regulation (EU) 127/2016, Regulation (EU) 128/2016, Regulation 1798/2017 which will be aligned with three Book of rules on the specific food safety requirements for specific groups of consumers within 2026. However, the country states to be fully aligned with Regulation (EU) 125/2006 in its Book of rules for the special requirements for the safety of food for special nutritional use -processed cereal-based food and baby food for infants and young children. In terms of institutional framework, the FVA is the competent authority, notably, the food for special nutritional use, fortified food, food supplements and additives unit belonging to the department of Food of Non-Animal origin and comprising six employees. Continuous controls in terms of chemical, physical, microbiological safety are carried out during import and on the domestic market by the state food inspectors. The procedure for approving food for specific groups will be harmonized with the procedure for approving these products in the EU member States. Namely, a notification procedure will be introduced for these products before they are released on the national market.

b. Commission assessment

North Macedonia **has not yet aligned** its legislation with the requirements of Regulation (EU) No 609/2013 on food intended for infants and young children, food for special medical purposes, and total diet replacement for weight control and with the delegated acts setting specific requirements for such foods. National legislation provides for the prior approval of foods for specific groups, before their placement in the national market, whereas under EU law such products are considered foods and are placed on the market without prior authorisation. Instead, it is the responsibility of the food business operator to ensure compliance with the Union provisions. National legislation also provides for lists of permitted and prohibited substances that can be used in the production of food supplements and fortified foods.

IV.I. CONTAMINANTS

a. Country presentation

The institutional framework managing contaminants in North Macedonia involves three key departments within the Food and Veterinary Agency (FVA). The Department for Veterinary Public Health, comprising 12 employees, is responsible for preparing the Annual Plan for monitoring contaminants in live animals, animal products, and raw materials of animal origin. Similarly, the Department for Food of Non-Animal Origin, also within the FVA, prepares the Annual Plan for monitoring contaminants in non-animal origin food. Oversight and implementation of these plans are conducted by the Department for Inspection Supervision, which includes official veterinarians and state inspectors. The Designated Laboratory at the University Ss. Cyril and Methodius, along with subcontractors like the Institute of Meat Hygiene and Technology (Serbia) and Eurofins Hos Testing Bulgaria EOOD, support these efforts through sample analysis.

According to the national legal framework, the Book of Rules on monitoring and control methods for residues and contaminants in live animals and animal-derived food products is fully aligned with several EU regulations, including 32023R0915, 32023R1510, 32024R1002, 32024R1003, 32024R1022, 32024R1038, 32024R1756, 32024R1808 and 32024R1987. North Macedonia declares that all recommendations from the European Commission and EFSA are considered in the preparation of Annual Plans for monitoring contaminants.

In terms of implementation, North Macedonia submits an annual control plan for food of animal-origin placed on the domestic market and for food of animal origin entering the country by March 31st each year to the European Commission, as reported. The country shares previous year's results with EFSA and actively participates as an observer in EFSA's Scientific Network on Chemical Monitoring Data Collection since implementing reporting in 2023.

North Macedonia declares that in the Programme for monitoring of food safety for 2024, all commodities and contaminants are covered by the legislation related to contaminants.

b. Commission assessment

North Macedonia has correctly listed all relevant EU *acquis* as regards maximum levels of contaminants in food (Council Regulation (EEC) No 315/93, Commission Regulation 2023/915, Commission Regulation (EU) 2017/2158 and Regulation (EC) No 124/2009) and it can be derived that North Macedonia has highly aligned his legislation to this *acquis* with the exception of Commission Regulation (EU) 2017/2158, for which alignment is committed for 2024-2025.

North Macedonia has **highly aligned** its legislation with the requirements on sampling and analysis for the control of contaminants in food, established in several Regulations. North Macedonia has also aligned with the Delegated Regulation 2022/931 and Implementing Regulation (EU) 2022/932 on the performance of official controls as regards contaminants in food. It is to be remarked that the scope of the official controls of contaminants in food does not cover all relevant contaminants and commodities, in particular in relation with food of non-animal origin. Furthermore, it is important that the country takes the necessary measures to ensure that the controls can be performed yearly as planned to avoid situations such as in 2021 and 2022 for the controls on contaminants in food of non-animal origin, in which no controls could be performed because of delays in administrative procedures to conclude the contract with the laboratory for performing the analysis.

IV.J. NOVEL FOODS

a. Country presentation

North Macedonia's legislation on novel foods is shared across the Food Safety Law and two bylaws. However, Regulation (EU) 2283/2015 and its implementing regulations have been aligned through the latest amendment to the Food Safety Law in 2023. The cut-off date for novel foods (1997) is in line with EU regulations. Regarding market placement, the country declares that novel foods must receive prior approval from the national competent authority, the Food and Veterinary Agency (FVA). The FVA maintains a registry of approved novel foods, and Food Business Operators are legally obligated to obtain approval before placing novel foods on the market. Concerning secondary legislation for the safety requirements of novel foods, the country informs that it aligns with EU regulations, except for provisions related to Commission procedures like the notification procedure for traditional foods from third countries. The country asserts that the list of authorized novel foods is currently being updated to align with EU regulations. The responsible departments within the FVA include the Department for New Food Technologies, Unit for Novel Foods, Irradiated Food, and Other Food Types, along with the Department for Inspection Control, supported by 76 official food inspectors. Future plans include further alignment by 2026, particularly addressing the non-alignment of the traditional food approval procedure, and expanding staff numbers by 2026.

Regarding accelerated integration, North Macedonia requests participation in the working groups on novel foods and toxicological safety.

b. Commission assessment

The country's legislation on novel foods has a **partial level of alignment** except for the latest amendments to the EU legislation. Nevertheless, the country intends to further align its legislation in the context of traditional foods from third countries and the Union list of novel foods as regards the validity period. North Macedonia has no specific training of inspectors on novel food..

Regarding accelerated integration, the Commission will further explore North Macedonia request to participate in the working groups in the area of novel foods and toxicological safety.

IV.K. IONISING RADIATION

a. Country presentation

North Macedonia reports full alignment of its book of rules on specific safety requirements for irradiated food ("Official Gazette" no. 65/2014) with EU Directives 2/1999 and 3/1999, including the list of approved facilities for food and food ingredient treatment with ionizing radiation in EU Member States. To place irradiated food on the market in North Macedonia, approval by the national competent authority, the FVA, is required after the irradiation facility is sanctioned by the Directorate for Radiation Safety. If no nationally approved facilities exist, only food treated at EU-listed facilities may be marketed in the country. Accredited laboratories support the FVA in detecting ionizing radiation in food samples. Departments within the FVA responsible for food treated with ionizing radiation include the Unit for Novel Foods, Irradiated Food, and Other Food Types, along with the Department for Food of Non-Animal Origin and the Department for Inspection Control.

The Annual monitoring subprogramme for irradiated food was amended with the inclusion of new food categories and the plan was implemented in 2024, Policy implementation through increased official controls will be ensured by 2025. The country aims to increase staff numbers by 2026. North Macedonia confirms that there are no additional restrictions on imports of irradiated food. Currently, food irradiation is permitted only for EU-listed food establishments as outlined in the Regulation's annex, which includes dried herbs and spices but excludes frog legs.

b. Commission assessment

North Macedonia has **partially aligned** its legislation to the EU *acquis* as regards food ionisation. Based on the information provided, North Macedonia appears to be well-organised for the implementation and enforcement of the EU legislation on food ionisation.

IV.L. NATURAL MINERAL WATERS

a. Country presentation

North Macedonia has has fully aligned Directive 2009/54/EC on the use and sale of natural mineral waters, Directive (EC) 40/2003 which establishes the list, concentration limits and labelling requirements for the ingredients of natural mineral water and the conditions for using ozone-enriched air for the treatment of natural mineral waters and spring waters and Regulation (EC) 115/2010 for determining the conditions for the use of active aluminium for the removal of fluorine from mineral and spring waters in its Book of Rules on the special requirements for the safety of natural mineral water, spring water and other packaged water 184/18. Within the FVA, the Unit for Novel Food and Other Food types belonging to the Department for new food technologies is dealing with natural mineral waters in cooperation with the Inspection Department Units. North Macedonia reports having 21 natural mineral waters that wear the label of suitable preparing baby food. The legislation of North Macedonia is reported to be more restrictive than of the EU's. The country declares having 18 Food Business Operators producing mineral water and spring water, and 84 approved products. North Macedonia states to have a monitoring programme for natural mineral waters and spring waters adopted on annual basis. It has been implemented in 2023 and 2024, while for 2025 it is in the procedure for adoption.

b. Commission assessment

Directive 2009/54/EC provisions concerning the exploitation and marketing of natural mineral waters are included into three distinct national legislations: the Law of Food Safety, the Rulebook on Special Requirements for the Safety of Natural Mineral Water, Spring Water, and Other Packaged Water (Official Gazette, No. 184/2018), and the Rulebook outlining the approval procedure for natural mineral waters (Official Gazette, No. 175/2018).

In the country, an approval procedure precedes the marketing of natural mineral waters, spring waters, and packaged water. The country acknowledged the recognition procedure under Directive 2009/54/EC

for natural mineral waters but noted that its current national procedure leans more towards approval than recognition. A monitoring programme for assessing and preventing physical, chemical, and biological hazards in natural mineral waters and spring waters was published in May 2023 and is slated for implementation throughout the year.

IV.M. SUMMARY OF MAIN FINDINGS – FOOD SAFETY RULES

Overall, North Macedonia achieves a **partial level of alignment** with the EU *acquis* on food safety rules. National legislation is partially aligned with Regulation (EC) 1169/2011 on food information for consumers and Regulation (EC) 1924/2006 on nutrition and health claims made on food, as well as with EU standards on food ionisation. North Macedonia is not yet aligned with the EU *acquis* on food flavouring, enzymes, aromas, extraction solvents, food additives and purity criteria, andon mineral waters.

V. SPECIFIC RULES FOR FEED

V.A. PLACING ON THE MARKET AND USE OF FEED

a. Country presentation

The competent authority overseeing the placing on the market and use of feed is the Food and Veterinary Agency (FVA). Within the FVA, five departments are involved in these processes: the Animal Health and Welfare Department (Identification and Registration of Animal Unit), all units of the Veterinary Public Health Department, the Inspection Supervision Department (including its units for state inspection on animal health and veterinary public health, as well as the state veterinary inspection at BIP unit), the EU and International Cooperation Department, and the Risk Assessment and Communication Department.

Regarding legislative alignment, there is partial alignment with Regulation (EC) 767/2009 in its Law on Animal Feed Safety (amendment) 2016, book of rules on general and special safety requirements, and its list of restricted or prohibited raw materials, materials, and other products used for animal nutritional purposes. Concerning Regulation (EU) 68/2013 on the Catalogue of Feed Materials, partial alignment is noted in the Law on Animal Feed Safety (amendment 2016) and related Book of Rules. The country plans full alignment with both regulations by 2025 at the latest.

In terms of implementation, enforcement, and track record, North Macedonia has 468 registered feed business operators and 24 approved establishments. The country has established a book of rules outlining the method and procedure for registering legal entities importing animal feed (comprising 237 animal feed importers), along with national procedures, checklists, guidance, and annual monitoring programs ensuring feed safety.

b. Commission assessment

The book of rules on general and special feed safety requirements (part on Law on animal feed safety) is **partially aligned** with Regulation (EC) No 767/2009. Further alignment is needed on certain requirements, such as the last update to the Catalogue of feed materials (Regulation (EU) 2022/1104 and corrigendum thereto), the list of intended uses of feed intended for particular nutritional purposes (Regulation (EU) 2020/354) and the last amendments to the annexes to Regulation (EC) No 767/2009, which is planned to take place by 2024-2025. Remaining alignment to be completed will require adaptation of implementation and enforcement arrangements.

V.B. FEED ADDITIVES

a. Country presentation

The competent authority overseeing the placing on the market and use of feed is the Food and Veterinary Agency (FVA). Within the FVA, five departments are involved in these processes: the Animal Health and Welfare Department (Identification and Registration of Animal Unit), all units of the Veterinary Public Health Department, the Inspection Supervision Department (including its units for state inspection on animal health and veterinary public health, as well as the state veterinary inspection at BIP unit), the EU and International Cooperation Department, and the Risk Assessment and Communication Department.

Regarding legislative alignment, North Macedonia is partially aligned with Regulation (EC) 1831/2003 on additives for use in animal nutrition in its Law on Animal Feed Safety (amendment) 2016 and related Book of Rules. The country plans to achieve full alignment with the Regulation between 2025 and 2026. *See section V.A. placing on the market and use of feed for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

North Macedonia's book of rules on the categories and functional groups of additives for animal feed, the minimum characteristics to be indicated, as well as the method of the description of animal feed additives and its Book of rules on application for an authorisation of feed additive, the way of submitting a request, as well as the form and content of the request for obtaining or renewing the authorisation for the marketing of animal feed additives (parts on Law on animal feed safety) are **partially aligned** with Regulation (EC) No 767/2009.

Further alignment is needed on the amendments brought to Regulation (EC) No 1831/2003 by Regulation (EU) 2019/1381 ('Transparency Regulation'), which is planned by the country to take place by 2025-2026. However, some of the further plans for alignment presented by North Macedonia appear unclear, such as the establishment of a 'Commission (or 'Committee') for feed safety' whose tasks related to applications for authorisation of feed additives have yet to be specified, or the establishment of a National Register of Feed Additives. It has been highlighted to the representatives of the country that those areas are the subject of a full harmonisation at Union level, through a Union procedure for the authorisation of feed additives and Union rules for their placing on the market. In addition, North Macedonia is not aligned with certain Union implementing regulations, such as Regulation (EC) No 378/2005 (which provides in particular for a consortium of national reference laboratories assisting the EU Reference Laboratory for feed additives) or Regulation (EC) No 429/2008 (which provides for detailed rules on the applications for additives' authorisations and the assessment thereof).

Remaining alignment to be completed will require some adaptation of implementation and enforcement arrangements, taking full account of the large extent of harmonisation of this sector at Union level.

V.C. UNDESIRABLE SUBSTANCES

a. Country presentation

The competent authority overseeing the placing on the market and use of feed is the Food and Veterinary Agency (FVA). Within the FVA, five departments are involved in these processes: the Animal Health and Welfare Department (Identification and Registration of Animal Unit), all four units of the Veterinary Public Health Department, the Inspection Supervision Department (including its units for state inspection on animal health and for veterinary public health, as well as the state veterinary inspection at BIP unit), the EU and International Cooperation Department, and the Risk Assessment and Communication Department.

North Macedonia is fully aligned with Directive 2002/32/EC on undesirable substances in animal feed and its amendments in its Law on Animal Feed Safety (amendment) 2016 and in its book of rules on the list of undesirable substances in animal feed and the maximum permitted levels, as well as critical points for conducting research to identify sources and reasons for exceeding the maximum permitted

levels (amendment) 2020. The country plans to fully align Regulation (EU) 2015/786 between 2025 and 2026. *See section V.A. placing on the market and use of feed for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

The book of rules on the list of undesirable substances in animal feed and the maximum permitted level and the critical points for conducting research to identify the source and the reasons for exceeding the maximum permitted level (part on Law on animal feed safety) is partially **aligned** with Directive 2002/32/EC, including the successive updates brought to the annexes thereof. Several Union 'application texts' presented by North Macedonia as referring to Directive 2002/32/EC do not consist actually in legal provisions adopted on the basis of that Directive but refer to general Commission Recommendations related to the monitoring of certain undesirable substances in animal feed. Further alignment is needed on the requirements laid down in Regulation (EU) 2015/786 defining acceptability criteria for detoxification processes, which is planned by the country to take place by 2025.

Remaining alignment to be completed will require some adaptation of implementation and enforcement arrangements. More detailed data on the level of resources allocated to implementation/enforcement capacity in the specific area of Feed legislation has been requested.

V.D. MEDICATED FEED

a. Country presentation

The competent authority responsible for regulating the placing on the market and use of feed is the Food and Veterinary Agency (FVA). Within the FVA, five departments are involved: the Animal Health and Welfare Department (Identification and Registration of Animal Unit), all four units of the Veterinary Public Health Department, the Inspection Supervision Department (including units for state inspection on animal health and for veterinary public health, as well as the state veterinary inspection at BIP unit), the EU and International Cooperation Department, and the Risk Assessment and Communication Department.

There is full alignment of Council Directive 90/167/EEC in its Law on Animal Feed Safety (amendment) 2016 and in its Book of Rules on conditions for marketing of medicinal feed for animals, form and content of veterinary prescription for medicated animal feed and its method issuance 7/2012. However, the country acknowledges that Regulation (EU) 2019/4 on the manufacture, placing on the market and use of medicated feed, repealing Council Directive 90/167/EEC, has not yet been aligned and plans to do so between 2025 and 2026. *See section V.A. placing on the market and use of feed for details on institutional framework and implementation state of play and future plans.*

b. Commission assessment

North Macedonia has **not yet aligned** its legislation with the requirements of Regulation (EU) 2019/4 on the manufacture, placing on the market and use of medicated feed. National legislation (Law on animal feed safety) still refers to Directive 90/167/EEC, which has been repealed by Regulation (EU) 2019/4. However, the country plans to align with the new requirements by 2026. The impact of those new requirements is important notably in terms of efforts to reduce antimicrobial resistance. Account should be taken of the current preparation at Union level of provisions (delegated acts, guidance documents) within the framework of Regulation (EU) 2019/4, and Delegated Regulation (EU) 2024/1229 of 20 February 2024

As North Macedonia´s legislation must still be aligned with Regulation (EU) 2019/4, all derived application texts, procedures and systems will need to be adapted accordingly. More detailed data on the level of resources allocated to implementation/enforcement capacity in the specific area of Feed legislation has been requested.

V.E. SUMMARY OF MAIN FINDINGS – SPECIFIC RULES FOR FEED

Overall, North Macedonia has a **partial level of alignment** with the EU *acquis* on specific rules for feed. National legislation is partially aligned with Directive 2002/32/EC on undesirable substances in animal feed, national legislation is also partially aligned with Regulation (EC) 767/2009, Regulation (EU) 68/2013 on the Catalogue of feed materials, Regulation (EC) 1831/2003 on additives for use in animal nutrition, North Macedonia is not yet aligned with Regulation (EU) 2019/4 on the manufacture, placing on the market and use of medicated feed.

VI. PHYTOSANITARY POLICY

VI.A. PLANT HEALTH (HARMFUL ORGANISMS)

a. Country presentation

The new Law on plant health under preparation will be aligned with Regulation (EU) 2016/2031 on protective measures against pests and plants and Regulation (EU) 625/2017 on official control. This is planned to be adopted in 2025, while new secondary legislation derived from this new law is planned to be adopted in the period 2025to 2030.

The National legal framework of the country in this area is currently composed by the Law on Plant Health, (Official Journal No. 29/05, 81/08, 20/09, 57/10, 17/11, 148/11, 69/13, 43/14, 158/14, 149/15, 39/16, 83/18 and 150/21), which aligns with Council Directive 2000/29 EC, secondary legislation (book of rules, orders and decisions) based on relevant *acquis* arising from Council Directive 2000/29/EC and ISPMs.The book of rules of the lists of pests, plants, plant products and other objects and items transposing Commission Implementing Regulation (EU) 2019/2072 was adopted in 2021. The current institutional framework is composed by the Phytosanitary Directorate of the Ministry of Agriculture, Forestry and Water Economy which is the central competent authority for plant health / national plant protection organisation (NPPO, the State Phytosanitary Laboratory, the State Agriculture Inspectorate and Holders of public authorizations). North Macedonia plans to designate the State Phytosanitary Laboratory which is accredited to perform specific diagnostic to determine plant health according to EPPO protocols using 64 different methods, as national reference laboratory with the adoption of the new plant health law. North Macedonia declares to have an annual programme for phytosanitary policy and an annual phytosanitary monitoring programme and is prepared in terms of diagnostic and surveillance.

b. Commission assessment

While the Directive 2000/29/EC and Implementing Regulation (EU) 2019/2072 into North Macedonia's national law is partially **aligned, t**he Commission recommends completing the alignment of the national law with the new plant health regime, i.e. Regulation (EU) 2016/2031.

VI.B. PLANT PROTECTION PRODUCTS

a. Country presentation

The Ministry of Agriculture, Forestry and Water Economy, particularly the Phytosanitary Directorate (13 employees), serves as the competent authority for approval of plant protection products and control of the maximum residue level of pesticides at primary production, while for control import competent authority is the Food and Veterinary Agency, Department for Inspection Supervision. The State Inspectorate for Agriculture oversees inspection supervision with 48 inspectors, while the State Phytosanitary Laboratory (7 employees) conducts laboratory testing of phytopharmaceutical products and their residues in food of plant origin. Additionally, North Macedonia has an Expert Committee on Phytopharmaceutical Products (16 experts) and a Commission for preparing and monitoring the National Action Plan for Integrated Pest Management.

Regulation (EC) 1107/2009/ on the marketing of plant protection products is partially aligned and Implementing Regulation (EU) 540/2011 on the list of approved active substances is fully aligned. Directive (EC) 2009/128 establishing a framework for Community action to achieve on the sustainable use of pesticides is partially aligned, and Regulations (EC) 1185/2009 on statistical data on pesticides.

The Book of rule on general and specific food safety requirements regarding maximum permitted levels of pesticide residues in or on food and feed of plant and animal origin is fully aligned with Regulation (EC) No 396/2005 of the European Parliament and of the Council on maximum residue levels of pesticides in or on food and feed of plant and animal origin. The part related on the procedure for application of MRLs is not transposed in the national legislation. With the amendment of article 27 paragraph (10) line 3 of the Law amending the Law on food safety („Official Gazette " no. 209/23), database on the maximum residue levels of pesticides on or in food are in accordance with EU Pesticides Database. The Food and Veterinary Agency every year performs monitoring of food safety related to the applicable maximum residues levels of pesticides in or on food in accordance with current Commission Implementing Regulation (EU) 2023/731 of 3 April 2023 concerning a coordinated multiannual control programme of the Union for 2024, 2025 and 2026 to ensure compliance with maximum residue levels of pesticides and to assess the consumer exposure to pesticide residues in and on food of plant and animal origin and repealing Implementing Regulation (EU) 2022/741.

Regarding implementation, the country has established systems for mutual recognition with EU Member States and for evaluating the effectiveness of phytopharmaceutical products. The country has synchronized its phytosanitary information system with the EU database of active substances and integrated this information with all stakeholders involved in the registration and authorization of phytopharmaceutical products. Although there are no registered manufacturers of phytopharmaceutical products in North Macedonia, two re-packers are registered. Repackaging activities must meet manufacturer conditions, including integrated permits for environmental protection, and a state phytosanitary inspector must be present during these activities.

Phytopharmaceutical products in the country can only be sold in specialized sales places (313 registered) under specific conditions, and aerial pesticide treatments are prohibited. The country plans to adopt several rulebooks 2025 and 2026to fully align with the EU *acquis.*

b. Commission assessment

Although the legislation of the North Macedonia is **partially aligned** with Regulation (EC) No 1107/2009, Directive 2009/128/EC (SUD) and Regulation (EC) No 396/2005, the implementation seems to be lagging.

There is no substantial risk assessment of active substances/plant protection products at the moment and North Macedonia should develop its capacities and expertise in this area.

In addition, the National Action Plan for Integrated Pest Management is not adopted, and the measures for the sustainable use of pesticides have not been implemented yet. Further substantial work is still necessary to collect reliable data on national pesticides use and its impact on human health.

Currently approved active substances at EU level are automatically approved also in North Macedonia. However, upon EU accession, it should have sufficient capacities to be a rapporteur Member State for active substances and to carry out full risk assessment on behalf of all Member States as per Regulation (EC) No 1107/2009.

At product level, North Macedonia currently does not carry out substantial risk assessment as per Regulation (EC) No 1107/2009 but only administrative checks of the documents submitted by the applicant. While the mutual recognition procedure is an option provided for by Regulation (EC) No

1107/2009, the candidate country should have the same capacities as all Member States to carry out full risk assessment of an application for a plant protection product under Article 29 of that Regulation.

VI.C. QUALITY OF SEED AND PROPAGATING MATERIAL

a. Country presentation

The Law on seeds and planting material for agricultural plants (199/23) together with a national programme and a national strategy for the development of agriculture and rural development for the period 2023-2027 are in place. In addition, the country has a large number of book of rules (32) deriving from the Law. The whole legislative framework is said to partially align EU Directives and Regulations in this area. However, North Macedonia has not yet aligned with Directive 2010/60/EU, Regulation (EC) 217/2006, Directive 2008/124EC, Directive 2009/145/EC and Directive 2008/62/EC.

The Directorate for Seeds and Planting Material within the Ministry of Agriculture, Forestry and Water Economy, is responsible for creating policies in the field of seeds and planting material. This Directorate represents the country in the European organization for the conversation and protection of plant genetic resources (ECPGR) and in the International Organization for the Protection of New Plant Varieties (UPOV). The Phytosanitary Directorate is the competent authority for implementing policies in the area of plant health and the State Phytosanitary Laboratory is responsible for testing the quality of seed and planting material. Finally, the State Agricultural Inspectorate is the competent authority for supervising the implementation of the legislation and conducting inspection. In terms of implementation, North Macedonia informs that has put in place a process for registration of suppliers of seed and planting material of agricultural plants, a post-control system of seed material and a process to register varieties of agricultural plants in the national variety list. Currently operators are not authorised to carry out certification activities. There are 329 varieties recorded on the list which is publicly available. The varieties are grouped into agricultural and vegetable plants, fruit plants, vine plants and autochthonous varieties. The country plans to upgrade various phytosanitary information systems by 2026 and to prepare the secondary legislation only by 2029. The country is not member of ISTA and do not have any laboratory accredited by it.

As regards forest reproductive material, the national law on reproductive material from forest tree species No. 236/22 is said to be partially aligned with Council Directive 1999/105/EC, but not aligned with Regulations (EC) no. 1597/2002 and 1598/2002**.** Full compliance with EU legislation on FRM is planned to be reached by 2027. The Ministry of Agriculture, Forestry and Water Economy has the overall responsibility for the legislation and its implementation.

b. Commission assessment

The national legislation of North Macedonia is **partially aligned** with most aspects of the respective EU legislation on quality of seed and propagating material, including forest reproductive material. Priority recommendations are to: (i) complete alignment with EU legislation; (ii) ensure that the seed sampling and laboratory testing are carried out in accordance with the International Seed Testing Association (ISTA) requirements, even if in North Macedonia there are no laboratories accredited by ISTA and (iii) ensure that the databases on plant varieties of seed and propagating material and on forest reproductive material are aligned with the EU databases.

VI.D. PLANT VARIETY RIGHTS

a. Country presentation

The Law on Plant variety rights which is compatible with the Convention of UPOV – International Organization for the Protection of New Plant Varieties- that represents a national solution for the granting and protection of breeder's right, is in place. However it is not aligned with Regulation (EU) 2100/94 on Community plant variety rights, nor Regulation (EC) 2470/96, Regulation (EC) 1238/95, Regulation (EC) 1768/95, Regulation (EU) 2021/1873 neither Regulation (EC) 874/2009 because these

will be directly applicable upon accession in relation to the granting of breeding rights**.** The Directorate for Seeds and Planting Material is the competent authority within the Ministry of Agriculture, Forestry and Water Economy and it is supported by the State Inspectorate for Agriculture in terms of supervision over the application of the Law. North Macedonia is a member of UPOV since 2011. The country is in the process to protect eight variety from foreign breeders and plans to harmonize its legislation by 2027 and its secondary legislation by 2029.

b. Commission assessment

Implementation of the legislation on plant variety rights is at an early stage. There is practically no experience on this in North Macedonia as only very few plant variety rights have been granted. National legislation is based on the International Union for the Protection of New Varieties of Plants (UPOV) Convention as the EU´s legislation. The EU Regulation will become directly applicable at the time of accession. After accession, the national system for granting plant variety rights can continue to co-exist with the EU system.

VI.E. SUMMARY OF MAIN FINDINGS – PHYTOSANITARY POLICY

Overall, the North Macedonia achieves a **partial level of alignment** with the EU *acquis* on phytosanitary policy. National legislation is partially aligned with Regulation (EU) 2016/2031 on protective measures against pests and plants. National legislation is partially aligned with the Council Regulation (EC) 1107/2009 on the marketing of plant protection products, the Regulation (EU) 540/2011 on the list of approved active substances, the Directive (EC) 2009/128 establishing a framework for Community action to achieve the sustainable use of pesticides and the Regulation (EC) 396/2005 on maximum levels of pesticide residues in or on food and feed of plant and animal origin. North Macedonia is partially aligned with the EU *acquis* on Quality of seed and propagating material, and not yet aligned with the EU *acquis* on Plant variety rights

VII. GENETICALLY MODIFIED ORGANISMS

VII.A. CONTAINED USE OF GENETICALLY MODIFIED MICRO-ORGANISMS; RELEASE INTO THE ENVIRONMENT OF GENETICALLY MODIFIED ORGANISMS

a. Country presentation

North Macedonia is **partially aligned** with Directive 2009/41/EC on the contained use of genetically modified micro-organisms and Directive 2001/18/EC on the deliberate release into the environment of genetically modified organisms on the basis of its Law on genetically modified organisms ("Official Gazette" no. 35/08, 163/13, 146/15 and "Official Gazette" No 150/21) which regulates the contained use of genetically modified micro-organisms (GMM), the deliberate release of genetically modified organisms (GMO) into the environment and the placing of GMOs and GMO products on the market, and the transboundary movement and transit of GMOs and GMO products. The Law on GMOs lays down exceptions to the application of the provisions on placing on the market and transboundary movement for food and feed, and pharmaceutical products used in human and veterinary medicine. This Law is further developed in North Macedonia with Rulebooks, Decisions and Decrees.

In terms of institutional framework, the unit for Biodiversity and GMOs of the Nature Department within the Administration of Environment at the Ministry of Environment and Physical Planning, is the body in charge of GMOs. In addition, there is a Scientific Committee on GMOs tasked with the supervision of the application of the Law on GMOs and the regulations adopted on the basis of this law. Seed and planting material from varieties of agricultural plants that have been genetically modified must be additionally labelled as such and recorded in the National Variety List if they meet the conditions for registration. So far, the Administration for Seed and Planting Material affirms that it has not received an application for registration of a genetically modified variety in the national variety list. A control system of GMOs in the environment has not yet been established in the country. The national legal framework is not fully functional, and implementation is at an early stage and capacity building

at the national level is needed. North Macedonia sets 2030 as deadline for full alignment with the EU *acquis* in this area.

b. Commission assessment

North Macedonia has **partially aligned** its legislation with the mentioned EU *acquis*. . Overall, the law is about 70 % aligned with Directives 2009/41/EC and 2001/18/EC according to the country. However, the national legal framework is not fully functional yet. Some elements are yet to be set out, e.g. concerning the traceability of GMOs, under Union law set out in Regulation (EC) No 1830/2003, other elements need to be aligned, and yet other elements, e.g. the rules for GMOs for food/feed use, under Union law set out in Regulation (EC) No 1829/2003, should be clarified. North Macedonia plans to amend the Law on GMOs by 2030 to align it with the referred EU legislation. North Macedonia should also align with the implementing decisions, notably authorisation decisions.

Implementation is at an early stage. One of the main issues is to increase the number of staff qualified in the area. There is no experience with GMOs in North Macedonia.

VII.B. GENETICALLY MODIFIED FOOD AND FEED

a. Country presentation

North Macedonia made limited progress in aligning its legislation with Regulation (EC) No 1829/2003 on genetically modified (GM) food and feed through 2023 amendments to the Law on Food Safety and the Law on Feed Safety, which lifted the complete prohibition of GM food. The Food and Veterinary Agency, including the Unit for GMO Food (Department for New Food Technologies), the Unit for Safety of Food from Non-Animal Origin (Department for Safety of Food from Non-Animal Origin), the Unit for Feed Safety and Animal Nutrition (Department for Veterinary Public Health), and the Inspection Department, is the primary competent authority in this area. However, a clear division of responsibilities among the Ministry of Agriculture, Forestry and Water Management, the Ministry of Environment and Physical Planning, the Ministry of Health, and the Food and Veterinary Agency is still required.

Plans for achieving full alignment with the two relevant EU regulations include the preparation and adoption of two Rulebooks each for GM food and GM feed by 2025 and the establishment of new approval procedures for GM food and feed by the end of 2026. Currently, the preparation of the Rulebooks on GM food are more advanced than those that for GM feed. Notably, a Rulebook on safety requirements, labelling and traceability of GM food has been partly elaborated. The country acknowledges having a lack of approval procedures and expertise in this area, necessitating capacity building. Implementation is in its early stages, with initial work on control programs for identifying traces of GMOs in food having begun, but needing expansion, and the establishment of control programs for feed still required. Challenges include increasing the number and training of staff and ensuring laboratories are equipped with the necessary resources.

By the end of 2024, the Rulebook for specific requirements for GM food and the Rulebook for the establishment of approval procedure for placing on the market of GM food were prepared and are now in the procedure for adoption.

b. Commission assessment

The North Macedonia has a **low level of alignment** with the requirements of Regulation (EC) No 1829/2003 on genetically modified (GM) food and feed as well as with the requirements of Regulation (EC) No 1830/2003 on traceability and labelling of GMOs and the traceability of food and feed products produced from GMOs. Both Regulations would become directly applicable at the time of accession. The ban on the production, placing on the market and import of GM food, which was in place from 2013 until 2023, was lifted on 5.10.2023. GM food and GM feed are regulated in two different pieces

of legislation, the Law on Food Safety and the Law on Feed Safety. While these laws contain basic elements, such as definitions, general requirements and an authorisation requirement for the placing on the market of GM food and GM feed , substantial parts of the regulation of GM food and GM feed are left to secondary legislation, which has not yet been adopted.

VII.C. SUMMARY OF MAIN FINDINGS – GENETICALLY MODIFIED ORGANISMS

Overall, North Macedonia achieves a **low level of alignment** with the EU *acquis* on genetically modified organisms. National legislation is partially aligned with the Directive 2009/41/EC on the contained use of genetically modified microorganisms and Directive 2001/18/EC on the deliberate release into the environment of GMOs. National legislation is lowly aligned with Regulation (EU) 1829/2003 on genetically modified food and feed and Regulation (EC) 1830/2003 on traceability and labelling of GMOs and the traceability of food and feed products produced from GMOs.

VIII. FIGHT AGAINST CORRUPTION - FOOD SAFETY, VETERINARY AND PHYTOSANITARY POLICY

a. Country presentation

The anti-corruption framework in North Macedonia is laid down in its Law on prevention of corruption and conflict of interest, and in the National strategy for the prevention of corruption and conflict of interest 2021-2025 with an Action plan for its implementation. The State Commission for the Prevention of Corruption (SCPC) also has guidelines which include the protection of public interest, compliance with the code of ethics, merit-based recruitment, transparency, and whistle blowers. Agriculture and rural development is one of 15 sectors specifically covered in the strategy. Further sectors relevant for agriculture and rural development are on public procurement, on employment, on state-owned property and on oversight of law enforcement.

b. Commission assessment

The regulatory and legislative framework of the country provides corruption as a serious crime, including in its cross-border dimension. The North Macedonia has ratified several international conventions against corruption and adopted specific legislation on the prevention of corruption and money laundering, including in the field of food safety, veterinary and phytosanitary policy.

The existence of specific anti-corruption measures in the main bodies dealing with food safety, veterinary and phytosanitary policy and its enforcement, supported by legal acts, in addition to the overall anti-corruption efforts of North Macedonia, are a positive sign that, if duly implemented, sets the country in the path towards the fight of corruption in the field of food safety, veterinary and phytosanitary policy.

c. SUMMARY OF FINDINGS – FIGHT AGAINST CORRUPTION

North Macedonia has a legal framework and an ongoing strategy and action plans on anti-corruption measures.

D) CHAPTER 13 – FISHERIES AND AQUACULTURE

The *acquis* in this chapter consists of a number of regulations, some of which do not need transposition into national legislation, but which require the introduction of measures to allow the administration and the operators to correctly implement the Common Fisheries Policy (CFP) rules. The scope, the objectives and the principles of the CFP are laid down in the Basic Regulation on the Common Fisheries Policy (Regulation of the European Parliament and of the Council (EU) No 1380/2013).

The CFP provides rules for the conservation of marine biological resources, the limitation of the environmental impact of fisheries, the conditions of access to waters and resources, and the promotion of sustainable aquaculture. It also comprises the common market organisation for fishery and aquaculture products, a structural policy with a dedicated fund (European Maritime, Fisheries and Aquaculture Fund), specific rules for the management of the fleet capacity, the control of fishing activity and on enforcement. The CFP promotes measures based on sound scientific advice and provides a framework for the collection, management and use of fisheries data, further developed in Regulation (EU) 2017/1004 (the data collection framework – DCF). Technical conservation measures are further developed by Regulation (EU) 2019/1241, the technical measures regulation. Specific management measures for the sustainable exploitation of fisheries in the Mediterranean Sea are laid down in Regulation (EC) No 1967/2006 (Mediterranean Regulation), while specific measures are laid down for the stock and fisheries under the purview of the relevant Regional Fisheries Management Organisations. Specific rules also apply for the management of some stocks, such as the European eel (Regulation 1100/2007).

With regard to **resource and fleet management**, the EU *acquis* contains specific rules for the adjustment of fishing capacity in order to seek a balance between fleets and stocks as well as for the measurement of engine power and vessel tonnage. Member States are requested to collect and update data related to the fishing capacity in a specific fishing fleet register according to Regulation (EU) 2017/218 of 6 February 2017.

Implementation of **inspection and control** is mainly the responsibility of Member States who need to ensure the administrative capacity for effective implementation, in line with the EU legal framework established by Council Regulation (EC) 1224/2009 which establishes *inter alia* detailed rules for the registration and reporting of catches and the operation of a satellite-based vessel monitoring system. The recent revision of the fisheries control system (through Regulation (EU) 2023/2842, amending the fisheries control regulation) expands digitalisation and monitoring of fishing activities, and includes new reinforced rules on traceability for fisheries products. In addition, the Council Regulation (EC) No 1005/2008 establishes a Community system to prevent, deter and eliminate illegal, unreported and unregulated fishing which includes a catch certification scheme for the importation and exportation of fishery products. This means that only marine fishery products accompanied by catch certificates validated by the competent flag state authorities can be imported into the EU.

On **structural support**, EMFAF Regulation (EU) No 2021/1139 lays down provisions for the European Maritime Fisheries and Aquaculture Fund (EMFAF 2021-2027) on financial support for the implementation of the Common Fisheries Policy, relevant measures relating to the Law of the Sea, the sustainable development of fisheries and aquaculture areas and inland fishing and sustainable aquaculture as well as for measures under the Integrated Maritime Policy. In order to benefit from the EMFAF, EU Member States are required to adopt a strategic document and Programmes. Member States should also have the necessary administrative management and control capacity in place in order to ensure a sound and efficient implementation of the Programmes.

The **market policy** *acquis* is defined by Regulation (EU) 1379/2013 of the European Parliament and of the Council and provides rules on professional organisations, common marketing standards, consumer information, competition rules and market intelligence.

In addition to general **state aid** rules, the EU *acquis* contains specific state aid rules applicable to the fisheries and aquaculture sector.

The EU does not have exclusive competence on **aquaculture.** Therefore, the *acquis* is very limited. Nevertheless, Member States are required to establish a multiannual national strategic plan for the development of aquaculture in their territories. Furthermore, there are Strategic Guidelines and specific recommendations at EU level that Member States are encouraged to follow. EU rules such as on environmental protection and animal health also apply to aquaculture.

Given its exclusive competence in the field of conservation of marine biological resources, the EU is party to a number of **international agreements** and organisations. Existing bilateral fisheries agreements and conventions with third countries or international organisations need to be adapted or denounced prior to accession.

North Macedonia does not intend to request any derogations or transitional periods, intends to align and implement the *acquis* by the date of accession.

I. RESOURCE AND FLEET MANAGEMENT

a. Country presentation

North Macedonia is a land locked country and does not have fishing vessels at sea. Only part of EU *acquis* on resource management and fleet conservation is applicable. As concerns the Data Collection Framework (DCF) this concerns the data collection on eels. Although below the EU threshold (1% of total Union aquaculture production by both weight and value), North Macedonia will continue to collect and to improve data collection on aquaculture, including on socioeconomic data, where North Macedonia considers itself already aligned with the *acquis*. North Macedonia also collects data on catches in freshwater fisheries and regulates fishing activities.

As concerns data collection on eel, the European eel is the native species to the Drin River Basin (Adriatic basin). Data collection has not been done and there is no specific protection or registration of catch. It is controlled by the State Agriculture Inspectorate as part of regular fishing controls. A joint management plan was drafted with Albania and North Macedonia, which shall be implemented by 2030, but North Macedonia intends to implement its national part earlier. Common control programs with neighboring countries are not implemented.

b. Commission assessment

As North Macedonia does not have access to the sea and does not have any maritime fisheries activities, substantial parts of the *acquis* on fisheries will not require particular implementation efforts. Certain measures will however need to be implemented to ensure the correct application of the *acquis*. North Macedonia demonstrated clear knowledge of the *acquis* covered by this chapter and a clear timeline to ensure full implementation of the *acquis* upon accession.

The legislation of North Macedonia is currently **not aligned** with the applicable *acquis* on resource and fleet management. The draft new Law on fisheries and aquaculture aims for wide alignment with the *acquis* on fisheries and aquaculture. North Macedonia stated that some further strengthening of the administrative capacity to implement the *acquis* is necessary.

As long as North Macedonia is not engaged in fishing at sea, there is no need for alignment to the EU *acquis* on technical measures.

North Macedonia is encouraged to implement data collection and fisheries-independent surveys for eel at the earliest opportunity. An eel management plan is compulsory under the EU *acquis*. Beyond implementing the national part of the plan drafted with Albania and Montenegro, as North Macedonia stated to envisage, it would be a strong signal of regional cooperation to start the implementation before 2030. The European eel is in a critical condition and urgent actions are needed to help its recovery. North Macedonia is also encouraged to further align socio-economic data collection on aquaculture in line with the *acquis.*

C. SUMMARY OF FINDINGS – RESOURCE AND FLEET MANAGEMENT

As long as North Macedonia is not engaged in fishing at sea, a large part of the EU *acquis* on fisheries is not applicable and there is no need for alignment. North Macedonia is currently **not aligned** with the applicable *acquis* on resource and fleet management. As a landlocked country as long as North Macedonia is not engaged in fishing at sea, a large part of the EU *acquis* on fisheries is not applicable. North Macedonia is encouraged to implement data collection and fisheries-independent surveys for eel at the earliest opportunity and to further align socio-economic data collection on aquaculture in line with the Commission Delegated Decision (EU) 2021/1167.

II. INSPECTION AND CONTROL

a. Country presentation

North Macedonia is a land locked country and does not have fishing vessels at sea falling under the control provisions of the common fisheries policy. For its fresh water commercial fisheries, the Law on fisheries and aquaculture is the legal basis. The State Agriculture Inspectorate is the competent authority performing controls and has the power to impose sanctions.

On illegal, unreported and unregulated (IUU) fishing, North Macedonia plans to align with the applicable provisions of EU legislation for the control of import and transport of fishery products caught at sea (catch certificate system) as well as concerns nationals engaged in IUU fishing.- The provisions regarding IUU shall enter into force in 2027 and the implementing legislation should be prepared in that period to 2027.

b. Commission assessment

North Macedonia is **not aligned** with the applicable EU *acquis* on inspection and control as concerns illegal, unreported and unregulated (IUU) fishing. In the absence of fishing vessels at sea under the flag of North Macedonia, no vessel monitoring system is required.

North Macedonia currently does not have a control system in place to prevent importation of fishery products stemming from illegal, unreported and unregulated (IUU) fishing, and it does not have institutional capacity in this regard. The Law on fisheries and aquaculture, with its planned implementing legislation contains a legal basis to establish a control system from 2027. Some of the provisions in the draft law appear as more general than in the EU regulation on IUU, and some other provisions are yet to be introduced into the national legislation. Moreover, the new traceability rules stemming from the revised Fisheries Control Regulation will require legislative alignment to ensure their timely uptake.

C. SUMMARY OF FINDINGS – INSPECTION AND CONTROL

North Macedonia is **not aligned** with the applicable EU *acquis* on inspection and control, as concerns illegal, unreported and unregulated (IUU) fishing.

III. STRUCTURAL ACTIONS

a. Country presentation

Structural actions in relation to freshwater fisheries, aquaculture and fish processing are being addressed on the basis of the Law on fisheries and aquaculture, as set out in the Programme for fisheries and aquaculture development 2013-2024. The Agency for Financial Support in Agriculture and Rural Development is the implementing authority for the structural measures defined in the Annual programme for fisheries and aquaculture. Subsidies are granted in the area of fisheries for fish stocking and nature protection measures and in aquaculture for investments in physical assets and juvenile fish procurement, capacity building and sustainable aquaculture promotion. Currently there's in place a multiannual national strategic plan for aquaculture until 2024 is in place. A new multiannual programme from 2025 and the planned Law on financial support in Fisheries shall provide for alignment with the *acquis* from 2025 and create the structures required for participating to the EMFAF.

b. Commission assessment

North Macedonia is **partially aligned** with the EU *acquis* on structural measures in aquaculture. The legislative and institutional reforms planned for 2025 will provide a good basis for participation in the EMFAF. The national strategy is to be updated from 2025. North Macedonia should build the administrative capacity to manage EMFAF funds, in line with EU requirements. National measures not covered by the EU's structural policy will need to be notified as state aid to the European Commission upon accession.

C. SUMMARY OF FINDINGS – STRUCTURAL ACTIONS

North Macedonia is **partially aligned** with the EU *acquis* on structural measures. In parallel to preparing the legislative and institutional reforms planned for 2025, North Macedonia should also build the administrative capacity to manage EMFAF funds, in line with EU requirements.

IV. MARKET POLICY

a. Country presentation

The national framework Law in fisheries and aquaculture includes market policy provisions. The new national framework law aims to align with the *acquis*. North Macedonia has legislation in place on marketing standards for fishery and aquaculture products, producer organisations and for consumer information. Updates have already been drafted to align with the *acquis*. The list of commercial designation of seafood products has been drafted. All draft legislation is planned to enter into force 12 months after the entering into force of the framework legislation. The implementation of the new legislation on marketing standards and on consumer information will start two years after the entering into force of the legislation. North Macedonia will take into account application of competition rules in line with the *acquis*. North Macedonia collects data from import and export of fishery and aquaculture products as well as data on volume and value of aquaculture production and commercial fishing. Market data are available.

b. Commission assessment

North Macedonia is **partially aligned** with the EU *acquis* on market policy. According to the timeline presented, North Macedonia would be widely aligned with EU legal framework in the end of 2025. The draft legislation, as presented by North Macedonia, seems to reflect well EU provisions, except on competition rules for professional organisations. The national legislation will have to be updated as applicable, to keep reflecting the current provisions of the *acquis*.

C. SUMMARY OF FINDINGS – MARKET POLICY

North Macedonia is **partially aligned** with the EU *acquis* on market policy. North Macedonia should pursue its timeline to widely align with EU legal framework.

V. STATE AID

a. Country presentation

Specific rules for aid to fisheries and aquaculture are provided for in the Law on Fisheries and Aquaculture. Aid is paid by the Agency for Financial Support in Agriculture and Rural Development (AFSARD). Support is also granted at regional or local level. As examples of measures that may receive support were mentioned investments in aquaculture and in the processing and marketing of fish, environmental measures in aquaculture, protection and development of aquatic flora and fauna, construction of fishing points. North Macedonia considers the support in essence as structural measures. North Macedonia plans to adopt a law on financial support in fisheries and aquaculture. Its regulations on State aid shall apply as of accession.

b. Commission assessment

North Macedonia is **not aligned** with the EU *acquis* on State aid in the area of freshwater fisheries and aquaculture. A system for state aid controls in these sectors needs to be set up. North Macedonia will

need to notify any State aid in freshwater fisheries and aquaculture to the Commission upon accession. *(See Cluster 2 Chapter 8 – Competition Policy for more detailed information)*

C. SUMMARY OF FINDINGS – STATE AID

North Macedonia is **not aligned** with the EU *acquis* on State aid in the area of freshwater fisheries and aquaculture. A system for state aid controls in these sectors needs to be set up and be operational by accession.

VI. AQUACULTURE

a. Country presentation

North Macedonia had an aquaculture production of 1 814 tonnes in 2022, of which 1 534 tonnes of rainbow trout and 217 tonnes carp. The Law on fisheries and aquaculture and implementing legislation are the legal basis. This includes also rules for stocking and inspection. North Macedonia´s Programme for fisheries and aquaculture development 2013-2024 is partly reflecting the objectives, set out in common fisheries policy regulation and Commission strategic guidelines. A multiannual strategic plan in line with the guideline is planned one year after the adoption of the new Law on fisheries. As concerns the use of alien and locally absent species in aquaculture, the Law on fisheries and aquaculture, the Law on nature protection and the Law on veterinary health provide for partial alignment with the *acquis*. Full alignment through the nature protection law and designating a competent authority is planned for 2030.

b. Commission assessment

Aquaculture policy in North Macedonia is **partially aligned** with the EU aquaculture *acquis*. North Macedonia needs to fully align with the *acquis* on alien and locally absent species in aquaculture (Regulation (EC) No 708/2007). This could be earlier than the currently planned year 2030. Furthermore, a new multi-annual national strategic plan for aquaculture should be drafted for the period from 2025. This plan should incorporate the objectives of the Commission's Strategic guidelines for a more sustainable and competitive EU aquaculture for the period 2021 to 2030.

C. SUMMARY OF FINDINGS – AQUACULTURE

Aquaculture policy in North Macedonia is **partially aligned** with the EU aquaculture *acquis*. A multi-annual strategic plan for aquaculture from 2025 onwards needs to be developed and include the objectives of the Commission's Strategic guidelines for a more sustainable and competitive EU aquaculture for the period 2021 to 2030.

VII. INTERNATIONAL AGREEMENTS

a. Country presentation

North Macedonia has no marine bilateral fishing agreements with third countries. North Macedonia is not party to any international agreement regulating the number of vessels or the scope of fishing. North Macedonia and Albania have signed an Agreement on Joint Sustainable Fisheries Management of Lakes Ohrid and Prespa. The agreement does not concern fishing vessels and volume of fish. North Macedonia and Greece have signed an agreement on a fishing period ban on Dojran Lake. North Macedonia became a member of the regional fishery body European Inland Fisheries and Aquaculture Advisory Commission (EIFAAC) of the FAO in 2023.

b. Commission assessment

North Macedonia will need to ratify, upon accession, the UN Convention relating to the conservation and management of straddling stocks and migratory fish stocks. North Macedonia's bilateral agreements need to be compliant with the EU requirements and commitments at the time of accession.

C. SUMMARY OF FINDINGS – INTERNATIONAL AGREEMENTS

North Macedonia's international and bilateral agreements on fisheries and aquaculture will need to be compliant with the EU requirements and commitments at the time of accession.

VII. FIGHT AGAINST CORRUPTION – FISHERIES AND AQUACULTURE

a. Country presentation

The anti-corruption framework in North Macedonia is laid down in its Law on prevention of corruption and conflict of interest, and in the National strategy for the prevention of corruption and conflict of interest 2021-2025 with an Action plan for its implementation. The State Commission for the Prevention of Corruption (SCPC) also has guidelines which include the protection of public interest, compliance with the code of ethics, merit-based recruitment, transparency, and whistle blowers. Agriculture and rural development is one of 15 sectors specifically covered in the strategy. Further sectors relevant for agriculture and rural development are on public procurement, on employment, on state-owned property and on oversight of law enforcement.

The SCPC identified four priority issues to be addressed in the area of fisheries and aquaculture to prevent corruption. Those concern the award of fishing concessions to incompetent or fraudulent concessionaires, insufficient inspections and non-application of proportionate sanctioning of infringements and the insufficient funding of scientific research to establish sustainable exploitation of resources. Stricter control of fishing activities through protection of sensitive areas and such of high ecologic value through environmental protection measures should contribute to stocks recovery.

b. Commission assessment

Overall, North Macedonia has some anti-corruption measures in place has developed some implementing capacity. North Macedonia already has a legal basis for anti-corruption measures, an ongoing strategy and action plans on the prevention of corruption and conflicts of interest, and a State Commission for the Prevention of Corruption (SCPC). The SCPC has issued guidelines on the protection of public interest, compliance with the code of ethics, merit-based recruitment, transparency, and whistle blowers. SCPC has identified priority issues relevant for the fisheries sector and actions are suggested for their remediation, which remain to be implemented. Inspection services will also have to be significantly strengthened. The Commission will closely monitor the developments in North Macedonia to put in place and implement the necessary standards.

c. SUMMARY OF FINDINGS – FIGHT AGAINST CORRUPTION

North Macedonia has a legal framework and an ongoing strategy and action plans on anti-corruption measures.

E) CHAPTER 22 - REGIONAL POLICY AND COORDINATION OF STRUCTURAL INSTRUMENTS

Regional policy is the EU's main tool for reducing regional disparities and investing in sustainable and inclusive socio-economic growth. The *acquis* under this chapter consists mostly of framework and implementing regulations, which do not require transposition but are directly applicable to Member States. They define the rules for drawing up, approving and implementing the Funds (the European Regional Development Fund, the European Social Fund Plus, the Cohesion Fund and the Just Transition Fund) and setting up programmes reflecting each country's territorial organisation. These programmes operate through shared management between the Commission and EU Member States. The effective and efficient implementation of cohesion policy requires appropriate administrative capacity on programme and project level, the establishment of systems of sound financial management and control and the fulfilment of other EU *acquis* elements such as environmental or public procurement legislation, as well as the fulfilment of enabling conditions, for example on effective application and implementation of the Charter of Fundamental Rights. These programmes are negotiated and agreed with the Commission, but implementation is the responsibility of the Member States. Thus, part of Cluster 5, Chapter 22 is closely interconnected to policy clusters including *Cluster 3 Competitiveness and inclusive growth and Cluster 4 Green agenda and sustainable connectivity*, as well as public administration reform under *Cluster 1 Fundamentals.*

A **legislative framework** must be put in place allowing for multi-annual programming at national and sub-national levels and budget flexibility, enabling co-financing capacity at national and sub-national level and ensuring sound and efficient financial control and audit of interventions. Member States must also put in place procedures to ensure the respect of Union legislation, in areas relevant for cohesion policy implementation (eg State aid, public procurement, environmental protection, transport, gender equality, non-discrimination, sustainable development, accessibility) when selecting and implementing projects. In addition, national authorities will have to assess whether the thematic and general enabling conditions linked to selected specific objectives of the programmes are fulfilled.

Member States must set up an **institutional framework** establishing all structures at national and regional level required by the regulations as well as setting up a specific framework for **financial management and control** including audit with a clear definition of tasks and responsibilities of the bodies involved, in particular with regard to requirements of Title VI of the Common Provisions Regulation. The institutional framework also requires establishing an efficient mechanism for inter-ministerial coordination as well as the involvement and consultation of a wide partnership of organisations in the preparation and implementation of programmes. The definition of conflict of interest from the EU's Financial Regulation should be carefully analysed and applied during the programmes' implementation. Appropriate **administrative capacity** must be ensured in all relevant structures. Performance of public administration is built on three blocs: architecture/structures, human resources, and systems and tools. These include recruiting and training qualified and experienced staff and establishing measures to retain such staff. In this context, Member States need to make the necessary organisational arrangements, adapt procedures and organisation charts and prepare accompanying documents.

The **programming** process covers the preparation of a partnership agreement and a series of programmes, duly supported *inter alia* by Strategic Environmental Assessments. There is a need to organise broad partnerships for the preparation of programming documents. A sufficient pipeline of mature projects must be established, enabling the full financial implementation of programmes. Specific information, publicity and transparency measures will also have to be carried out. Communication is an integral part of the whole programme and project cycle.

Establishing a **monitoring and evaluation** system includes the set-up of monitoring and evaluation structures and processes in different relevant bodies, as well the installation of a comprehensive management information system that is accessible and usable for all concerned bodies.

North Macedonia indicated that it accepted the *acquis* under this chapter.

I. LEGISLATIVE FRAMEWORK

a. Country presentation

As regards **Public Finance Management (PFM)**, North Macedonia adopted a new Law no. 203/22 on Organic Budget to lay the basis of strategic planning, macroeconomic projections, and support Public Investment Management (PIM). Recommendations and requirements from the Economic Reform Programme have already been included in the new budget law. It is envisaged that medium-term budget planning will start from 2025, which will be strengthened, and budget users will submit strategic planning, plans of revenues and flows to be embedded in the fiscal strategy for the next five years. The ongoing PFM programme (2022-2025) envisages fiscal decentralisation to improve revenue of local government, its fiscal discipline and transparency, as well as PIM. North Macedonia plans a new Law on the Financing of Local Self-government Units in line with the new Law on Budget.

North Macedonia achieved a high level of alignment with the EU *acquis* on **statistical infrastructure**, underpinned by Strategic Plan 2023-2025 and seminal legislation (Law on State Statistics and Law on the Organisation and Operation of State Administration Bodies). The nomenclature of territorial units for statistics is harmonised with the NUTS (Nomenclature of territorial units for statistics) regulation and consists of five levels corresponding to NUTS 1-3 and LAU 1-2. Sets of statistics that are key for regional policy such as Gross Domestic Product (GDP), population, un/employment, education, agriculture are produced at national and regional level (NUTS 2 and 3) as demonstrated at the screening meeting. North Macedonia will initiate regular transmission of Gross National Income (GNI) in accordance with the European System of national and regional accounts and to continue recruitment of staff for the State Statistics Office.

The **local self-government system** was established by the Law on Ratification of the European Charter of Local Self-Government of 1997, whereas normatively regulated by a special Law on Local Self-Government of 2002. According to its Law on the Territorial Organisation of Local Self-government (last amended in 2014), North Macedonia is territorially and administratively organised into 80 municipalities corresponding to NUTS level 4 (43 based in cities, 37 are based in villages), composed of 1 792 non-administrative local communities corresponding to NUTS level 5. The Law on Balanced Regional Development of 2021 established eight planning regions corresponding to NUTS level 3, while setting the foundation for reducing disparities between and within the planning regions and for inter-municipal and cross-border cooperation. By law, all municipalities have financial independence and have the same competencies.

The Law on **State Aid Control** and related implementing regulations (*de minimis*, regional aid, horizontal aid, rescue and restructuring aid) were adopted between 2007 and 2014. North Macedonia recognised the need to amend the existing, or adopt a new, Law on State Aid Control and implementing acts. The new Law no. 268/24 on condition and procedure for granting aid of minor importance (de minimis) was adopted in December 2024.

North Macedonia achieved a high level of legal alignment with the EU *acquis* in the area **of public procurement**. As regards the effective monitoring mechanism of the public procurement market, North Macedonia presented several tools such as the E-procurement tool, which contributes to administrative control based on risk assessment and related reporting.

The guarantees of **horizontal principles linked to Fundamental Rights** (equality, non-discrimination of any kind, integration and accessibility for persons with disabilities, rights of the child and elderly, among others) and the **European Pillar of Social Rights** (employment, equal opportunities, social inclusion, etc) are enshrined in the Constitution and in several dedicated legislative acts, and further promoted in strategies, programmes and projects. In IPA III, programmes and actions mainstream the horizontal priorities of human rights, gender equality and interlinkages between relevant Sustainable Development Goals. North Macedonia plans to revisit some of the said legislation and strategies, and subsequently amend or adopt new acts in line with the latest EU standards and norms.

North Macedonia adopted its **Smart Specialisation Strategy** (S3) 2024-2027 and related Action Plan 2024-2025 in December 2023. The digital and green transitions are embedded in S3, in which the key vertical priorities are: smart agriculture and food, ICT, sustainable materials and smart buildings, and electro-mechanical industry.

North Macedonia prepared its **National Operational Broadband Plan (2020-2029)**, with first targets to materialise in late 2023, based on mapping of economic, innovative and scientific potential in 2021. Despite some preconditions for rolling out broadband already being present in the country (State aid rules, etc), key milestones lay ahead, such as the preparation of the new law on electronic communication, the national ICT strategy, an update of the white, grey and black zones in the country, and completion of a feasibility study for the establishment of backhaul optical infrastructures, as well as an efficient institutional set-up and functional governance structure.

As far **as thematic conditions** are concerned, North Macedonia is implementing the **National Transport Strategy** (NTS; 2018-2030) in line with the Green Deal and EU Transport Policy). The strategic priorities are environmentally friendly, low-carbon transport systems, modal shifts, green mobility, logistics, transport safety, and the application of Intelligent Transport Systems and digital technology. The NTS is directly linked to the Strategy for Regional Development (2021-2031). North Macedonia is investing in TEN-T network corridors, including estimates for needed investment, and investments outside, such as the Local Road Connectivity Project. A National Intelligent Transport Strategy was adopted in late 2023, with relevant legal changes in making.

North Macedonia is **partially aligned** with the **energy efficiency** enabling condition due to its advanced alignment of the legislative framework, a programme for the promotion of renewable energy sources and improvement of energy efficiency in households as well as financial instruments (credit line for energy efficiency and renewable energy sources, future energy efficiency fund, etc). However, some important steps remain to be implemented, such as the establishment of the Energy Efficiency Fund, amendments to the energy efficiency law and adoption of a long-term strategy for the reconstruction of housing, public and commercial buildings.

The National Energy and Climate Plan (NECP) was adopted in June 2022, but national legislation is only **partially aligned** with Regulation (EU) 2018/1999 on the Governance of the Energy Union and Climate Action and Directive (EU) 2018/2001 on the promotion of the use of energy from renewable sources. North Macedonia still has to adopt a new energy law , to accommodate the need for further harmonization, as well as the new NECP for the period 2025-2030.

The **national disaster risk management framework** was envisaged in the Law on Crisis Management and the Law on Protection and Rescue, which were followed by relevant risk assessments (e.g., natural and other disasters), methodologies and plans (e.g., the plan for protection and rescue from natural and other disasters). A dedicated plan sets out the purposes, tasks and dynamics of financial resources in accordance with Article 123 of the Law on Protection and Rescue.

In the case of **waste-water management**, Specific Implementation Plans were developed for both Council Directive 91/271/EEC concerning Urban Waste-water Treatment and Council Directive 98/83/EC on the Quality of Water Intended for Human Consumption, accompanied by corresponding estimates of investment needed for compliance. As regards **waste management,** North Macedonia provided information about the Regional Waste Management Plans adopted for each of the eight planning regions, which aimed to fulfil the elements of enabling condition 2.6.

North Macedonia is preparing a more detailed gap assessment and action plan for fulfilment of the horizontal and thematic enabling condition in the upcoming period.

North Macedonia adopted a new public internal financial control (PIFC) Law no. 255/2024 in December 2024). In 2022, a new proposal for the State Audit Law was prepared, to strengthen the State Audit Office's (SAO's) independence, boost cooperation between the SAO and the Parliament, improve parliamentary scrutiny of individual audit reports and the follow-up of recommendations provided by SAO. North Macedonia confirmed that in the current legal system "single audit arrangements" are not applied.

b. Commission assessment

North Macedonia is already at a **partial level** of alignment with the relevant EU legislation and policies in areas that are a prerequisite for the proper implementation of EU cohesion policy (horizonal and enabling conditions). It still needs to further enhance legislative alignment in some areas of State aid, energy, internal financial control, audit, among others, in order to ensure full harmonisation with the *acquis*. Legislation to address the shortcomings in the above areas is currently under preparation.

Chapter 22 covers a number of regulations which are directly applicable to Member States and change under each Multi-annual Financial Framework of the EU. The chapter is linked to a number of *acquis* from other chapters related to enabling conditions for the implementation of cohesions policy (e.g. State aid, public procurement, etc). By the date of North Macedonia's accession to the EU, the application and enforcement of these *acquis* will need to be fully ensured, and a framework for establishing, approving, implementing and coordinating all instruments under cohesion policy will need to be in place.

The strategic framework is strengthened with the adoption of new strategies on public procurement and gender equality. However, other strategies and plans such as the National Development Strategy and the National Energy and Climate Plan need an update.

North Macedonia's budget planning system allows for annual workplans. In this context, the country will start implementing the Law on Organic Budget, which will allow the country to define conditions for cohesion policy such as strengthening medium-term budget planning. North Macedonia will adopt a new law on the Financing of Local Self-government units.

The co-financing of projects at national level is currently only provided for by the state budget. Co-financing from sources other than the state remains rather limited. Local authorities can draw their revenues from multiple sources, and they are autonomous in executing their own budgets. However, they have limited borrowing capacity and depend upon prior consent of the central government, which makes co-financing capacity at local level challenging. Finding new sources of funding for local self-government units is thus pertinent. A mechanism needs to be established to ensure a financially sound basis for investments and sufficient authority for project delivery, potentially across municipality boundaries (e.g., public-private partnership framework).

C. SUMMARY OF MAIN FINDINGS - LEGISLATIVE FRAMEWORK

North Macedonia is **partially aligned** with the legislative framework concerning cohesion policy.

II. INSTITUTIONAL FRAMEWORK

a. Country presentation

The General Secretariat of the Government (GS) is responsible for coordinating **budgetary strategic planning**, process of the main budget users, and in cooperation with the Ministry of Finance provides detailed instructions and guidelines for the preparation of the strategic plan, sectoral and multi-sectoral strategies..

The Law on Balanced Regional Development defines the responsible authorities for implementing policy for balanced regional development. The Council for Balanced Regional Development (minister/mayors level) approves strategy and programmes for the development of regions, including a proposal for financing, among other duties. The Government, the national Council, the Ministry of Local Self Government, and the regional Counsels, together with the Bureau for Regional Development and regional Centres for development, are responsible for implementing the policy for encouraging balanced regional development, distributing funds and monitoring their use for the development of planning regions. Local Councils for development in the eight planning regions consist of mayors, business and civil society representatives and they monitor the specific programmes. North Macedonia

plans to further strengthen capacities at local level to plan and programme better, prepare technical documentation and manage the present E-system for implementation, planning, monitoring and evaluation. North Macedonia designed management and **implementation structures for IPA**, which would favour progressive alignment with the usual programming and implementation structures and practices of cohesion policy. North Macedonia benefits from annual action programmes and has adopted three multi-annual operational programmes for 2024-2027 on transport, environment, jobs and opportunities under IPA III, and a separate IPARD III programme. The key structures in indirect management are the National IPA Coordinator (NIPAC), the National Authorising Officer (NAO) and the intermediate body for financial management (CFCD) in the Ministry of Finance; managing authorities in relevant ministries with intermediate bodies for policy management; and the Audit Authority for IPA. Implementing legislation determines the structure and processes of IPA III – e.g., an implementing agreement between the NIPAC, NAO and IPA operating structure for the implementation of IPA assistance in the system for indirect management. Ministry for Local Self-government is delegated to overall coordination on the participation of North Macedonia in the bilateral programmes for cross-border cooperation within the framework of IPA III. 12 Sector Working Groups are responsible for the coordination of relevant policy and consist of the national institutions at a central level (and local for local and regional funded programmes), donors, civil society organisations (CSOs), academia, chambers, among others.

As far as the institutional set up for cohesion policy is concerned, North Macedonia is mapping the institutions responsible for creating the policies related to the policy objectives. It intends to further strengthen the capacities of the existing responsible institutions to meet the enabling conditions for meeting the Partnership Agreement policy criteria and to prepare multi-annual programmes. For instance, North Macedonia plans to raise the capacity building of the Employment Agency to take the role of an intermediate body for financial management for the jobs and opportunities operational programme. North Macedonia will identify responsibilities deriving from the European Code of Conduct on Partnership.

A separate **Audit Authority** for IPA is established for funds under indirect management as a functionally and financially independent institution from the IPA structures guaranteed by the Law for audit of Instrument for Pre-accession Assistance (IPA). It has six audit departments, among which such specifically for IPARD programmes and Cross-border cooperation programmes.

In the case of **Interreg programmes**, North Macedonia participates only as a partner national authority and national beneficiary, but the management of the programme is led by a Member State's institution. Interreg programme funds are audited on the territory of North Macedonia by the Audit Authority for IPA.

North Macedonia is coordinating between institutions, including IPA implementation structures, through regularly established consultations, coordination meetings and monitoring activities. Inter-institutional coordination, vertically and horizontally between the different layers of administration at national and sub-national level is provided by law. North Macedonia applies the principle of subsidiarity equally.

b. Commission assessment

North Macedonia has designated structures for the implementation of the IPA instrument, notably regarding the management of the three new operational programmes in view of the progressive alignment with cohesion policy. North Macedonia has indicated that the IPA architecture will constitute the basis for establishing the future cohesion policy implementation system. North Macedonia needs to pay attention to rapidly ensure a full integration and transfer of responsibilities of relevant functions to line ministries and increase their institutional capacities. These institutions need to gradually obtain full responsibility and ownership of policy planning and preparation.

North Macedonia made some first steps in that direction by mapping out institutions responsible for creating the policies related to cohesion policy's objectives.

Considering the wide range of functions, which cohesion policy will require, North Macedonia should take the necessary steps to ensure that a coherent structure of coordination is established. At the same time, the functional independence of the structure as a whole and separate institutions needs to be ensured, as it relates to the future managing and audit authorities and their respective responsibilities. This coordination structure should support managing authorities in fully discharging their responsibilities and decision-making capacity to manage and implement the relevant programmes under their control.

At a wider level, and within the framework of increasing transparency and accountability in the management of cohesion policy, the coordination structure needs to ensure coherence between macro-economic policy objectives on the one hand and co-financing needs and objectives on the other.

In addition, a co-ordinating structure, appropriate inter-ministerial coordination, which is currently provided for by national legislation, needs to be ensured for programming and implementing EU cohesion policy.

C. SUMMARY OF MAIN FINDINGS - INSTITUTIONAL FRAMEWORK

North Macedonia is at a **partial level of alignment** in terms of institutional framework for implementation of cohesion policy. North Macedonia's participation in IPA and cooperation programmes (e.g. Interreg) has contributed to the early development of implementation structures and mechanisms that can serve as a solid basis for future responsibilities under EU cohesion policy. However, specific gaps remain to be addressed regarding the definition of appropriate institutional structures and systems and the upgrading of institutional capacities in compliance with the applicable regulatory framework. North Macedonia should guarantee an effective coordination system among the implementing institutions.

III. ADMINISTRATIVE CAPACITY

a. Country presentation

North Macedonia bases **recruitment and job mobility** (rotation, promotion) on merit, equal conditions, equal access for all interested candidates as well as fairness and transparency, as per the dedicated legislation and its Public Administration Reform (PAR) strategy. There is an appeal procedure in place. According to North Macedonia, competencies tested through job interviews played an increasing role in the selection process. The PAR Strategy also envisages policy development for retaining professional and competent staff. North Macedonia plans a new Law on the Civil Service which will also address salary levels and grids. There is 360-degree performance assessment, and a 13th month bonus salary for civil servants is planned.

Employees responsible for IPA and IPARD funds are entitled to a 15% top-up of salary based on specific criteria according to the law. At the same time, North Macedonia experiences a high level of **turnover** in the IPA structures and will enhance motivational factors and retention policy. The current number of employees in the IPA structures is 306, out of 388 needed according to the workload analysis for 2023 (79%). The turnover was 49% for the past six years affecting mainly key management positions, trained staff, and staff with long experience. North Macedonia needs urgently to employ more staff in key institutions dealing with IPA funding - the Management Structure, CFCD, as well as IPA structures in the Ministry of Transport, the Ministry of Environment and Physical Planning and the Instrument for Pre-Accession Assistance in Rural Development (IPARD) agency.

North Macedonia is taking measures to address the above shortages by reflecting the risks in its management and control systems, monitoring the changes in administrative capacities monthly, conducting workload analysis of the IPA structures, promoting IPA staff, restricting hiring IPA staff from other departments of the same institution, and participating in initiatives such as the NAO regional initiative for EU support for staff retention. Salary levels in North Macedonia are low, relations with

management, pressure in the job, and no promotion for long periods are the main reasons for staff turnover.

The **staffing level** in various institutions of North Macedonia relevant to cohesion policy is low. For instance, in the Ministry of Finance 25 out of a planned level of 50 personnel in the Budget and Funds department; and in the PIM Department - five out of 13 are in place. Similarly, there are only four employees in the State Aid Control Department of the Commission for Protection of Competition and 30 in the Public Procurement Bureau – both planning further recruitment. The level of staffing of the State Audit Institution and State Statistics Office is still only around 50% of the expected number of positions. The level of staff turnover in the Audit Authority of IPA is above 25% of the trained and qualified staff.

As far as **training** possibilities are concerned, offered professional development training courses for civil servants are divided into generic or specialised depending on three types of competency frameworks: general, special and professional. There are three training academies: an Academy in the Ministry of Information Society and Administration, the Public Finance Academy, and the Secretariat for European Affairs Training Centre (to be transformed into EU Academy). The academy attached to the ministry provides only general training, whereas the public finance academy provides specialised training such as accounting, auditing, and budget planning. The Training Centre of the Secretariat for European Affairs is responsible for building the capacities related to EU integration and funding. Training needs analysis is conducted every two years, from which annual training plans originate. The Head of the Training Centre is the TAIEX National Contact Point for North Macedonia. 11 355 civil servants were trained in the centre between 2011-2023. All training centres face staff shortages, resources, and the need to increase operational budgets.

North Macedonia has more than 15 years of **IPA funds management experience** and most state bodies are trained in their management. With changing financial perspectives, North Macedonia gained experience of different regulations. North Macedonia needs increased knowledge and skills of employees.

North Macedonia is aware of the administrative capacity required for EU cohesion policy. In this context, North Macedonia will adjust the structures involved in the indirect management of IPA as much as possible to the rules and procedures governing cohesion policy.

b. Commission assessment

The administrative capacity of North Macedonia remains a major concern under Chapter 22. This concern is particularly pertinent in the context of the larger administrative resources that will be needed for the implementation of EU cohesion policy.

No progress was made on the adoption of the long-awaited revised legislation on civil servants and on public sector employees, or on the new legislation on top levels of management, aimed at ensuring merit-based recruitment and fair promotions and dismissals. There is still inconsistent application of recruitment and promotion procedures across the public sector and some irregularities and the misuse of the IT system for testing candidates for positions in the public administration. Proper follow-up to the recommendations of the State Commission for the Prevention of Corruption on improving public sector recruitment procedures should be ensured.

The current figures of staff turnover and shortages in IPA structures and other relevant institutions ensuring enabling conditions, are a point of concern affecting the efficiency and sustainability of the EU assistance. Performance of the existing and new institutional set-up for multiannual operational programmes is jeopardised by weak administrative capacity. North Macedonia needs to demonstrate that the current recruitment, career development and retention policy is effective in practice in the upcoming years in order to reach an appropriate level of stability and resilience for the public administration.

A sound retention policy targeting staff and key managerial positions, who progressively gained expertise in the management and implementation of EU funds needs to be ensured. In this context,

North Macedonia needs to apply efficient and attractive career planning and an appropriate salary policy for civil servants across all bodies involved in IPA.

North Macedonia needs to ensure continuity and stability of the human resources who benefit from capacity building measures. There should be a comprehensive system of training in place. It should provide highly specialised training programmes on planning and implementing EU funding instruments, both practical knowledge and technical skills. Training centres should also be well established, staffed and resourced, which is still not the case presently. It is important that the national authorities ensure the sustainability of the training centres, especially the Training Centre of the Secretariat for European Affairs, which relies primarily on the IPA support. North Macedonia should also make use of relevant capacity building tools for implementing EU cohesion policy made available on the web.

Appropriate training of local authorities, especially those involved in implementing IPA programmes, is also required. North Macedonia should invest efforts in knowledge and capacity building of all types of stakeholders that will be involved in the implementation of cohesion policy.

C. SUMMARY OF MAIN FINDINGS - ADMINISTRATIVE CAPACITY

North Macedonia has **a low level of alignment** in terms of administrative capacities. The chronic shortage of staff and high turnover are a serious concern when it comes to the implementation of cohesion policy. Further investments in effective policy for staff retention, which should include remuneration stimulation, promotions, career development among others are needed. Further, North Macedonia needs to build a solid comprehensive system of trainings directly related to planning, management and control of EU funds. North Macedonia needs to upgrade its administrative and technical capacity to manage EU funds by adopting an overall staff retention policy, strengthening capacities and improving the implementation of EU and audit recommendations.

IV. PROGRAMMING

a. Country presentation

In North Macedonia, state and local institutions conduct their **strategic planning** in accordance with the Law on Budgets (Article 13) and several methodological and guiding documents for strategic planning, preparation, implementation, monitoring, reporting and evaluation of the Annual Work Programme (AWP) of the Government and sector and cross-sector strategies. The AWPs are aligned with the National Programme for Adoption of the *Acquis* Communautaire . The GS plays a central role in defining priorities and ensuring consistency. Several digital solutions are used for the integrated planning system.

A new National Development Strategy 2024-2044 was adopted in October 2024. It will enshrine key principles relevant to regional policy such as multi-level governance, complementarity, comprehensive financing, and social and demographic balance. Key priorities are territorial development, green and digital society, demographic and socially balanced development, innovative and competitive economy, just to name a few. The strategy was built on a consensus among different social stakeholders. The Strategy for Regional Development (2021-2031) is a shorter ten-year planning document, which is in line with the Law on Balanced Regional Development and according to North Macedonia, in line with basic strategic goals of the EU's cohesion policy. North Macedonia aims at allocating at least 1% of GDP for balanced regional development, 55% of which for the least developed regions, and 15% each for the development of villages, urban areas and areas with specific development needs.

North Macedonia is transitioning from project-based (IPA I), through programme-based (IPA II) to currently sector-based assistance approach (IPA III). North Macedonia requires sectoral strategies (e.g. environment, transport, energy, employment), institutional capacity, consultative and coordination framework as well as a sustainable, multi-annual sector budget. North Macedonia applies in its programming process, the Performance Assessment Framework as an instrument to monitor and

measure the country's progress in implementing sectoral reforms. In this process, environmental impact assessments, social impact assessments, climate proofing and SWOT analysis are conducted.

As for **consultations** with stakeholders, including business community, donor community and Civil Society Organisations (CSOs), North Macedonia widely consults on the Annual Work Programmes (AWPs), strategies and regulations through several institutional structures (e.g., CSOs' participation in Sector working groups) and dedicated digital platforms. For the future framework of cohesion policy, North Macedonia will involve sub-national levels in the planning and programming processes by establishing a mechanism for a bottom-up approach.

In terms of **investments funded by** IPA, programming was currently prepared under Western Balkans Investment Framework . The Single Project Pipeline, which constitutes a strategic selection and prioritisation of infrastructure projects, is endorsed by the National Investment Committee.

The level of **national co-financing** is defined as per the legal documents (e.g., financing agreements), but increased under IPA III to almost 50%. The budgeting process of IPA and national co-financing is carried out in accordance with the provisions and procedures described in the Budget Law. National co-financing is available simultaneously with the EU contribution, as according to the Law on Annual Budget Execution, IPA projects have priority. At the local level, municipalities use their own sources (local taxes and fees, etc), subsidies from the government, borrowings with sovereign guarantees as well as parts of state taxes (e.g., personal revenue tax). Fiscal decentralisation is central part of the PFM programme of North Macedonia.

The 'Environment' Programme (EUR 70 million) aims to enhance the implementation of the Green Agenda, concentrating mainly on wastewater management, reduction of waste and increase of recycling, and other priorities under *Chapter 27 – Environment*. The 'Transport' Programme (EUR 50 million) aims to build modern, sustainable, and well-integrated railway and road transport infrastructure in North Macedonia, chiefly through increasing safety, efficiency, and sustainable connectivity. The 'Human Capital Programme (EUR 40 million) aims to promote equal opportunities, access to employment, and quality social protection, notably for youth, women, and vulnerable groups.

North Macedonia's communication framework relies, as presented, on three pillars: national communication, IPA communication and communication in the context of Interreg IPA programmes. Each pillar follows its respective communication logic. Overall emphasis is put on coordination, strategic communication, and transparency. The future plans for communication include appointing a communication officer, establishing a communication network and designing a communication strategic framework for EU funds on Communication Action Plans of Managing Authorities. North Macedonia increased level of transparency under IPA III as opposed to IPA I&II, notably by publishing regularly the strategic and programming documents, the calendars of the Sectoral Working Groups and the Sectoral Monitoring Committees , the information on tendering and awarded contracts by various authorities (NIPAC, financial/policy management, etc). Under the future cohesion policy, North Macedonia will have all information published on one centralised source.

b. Commission assessment

North Macedonia has established a well-defined strategic planning and programming architecture with horizontal and sectoral strategies linked to the enlargement process and IPA programming and implementation. Programming processes for IPA 2022-2023 were completed, whereas the programming of IPA 2024 and operational programmes for 2024-2027 is also completed. The sector policy dialogue, which supports strategic planning and programming, weakened in the last years as reflected by the infrequent meetings of the sector working groups. The sector working groups should be used as a single platform for donor coordination and policy development regardless of the source of funding.

The available in-depth experience in project and programme development is largely limited to the current experience under IPA. It needs to be further enhanced to satisfy the requirements under EU

cohesion policy. Along with the IPARD programmes, North Macedonia has been implementing two operational programmes under IPA II and will start to implement the three planned Operational Programmes under IPA III, which will become a test case for its preparedness to manage more comprehensive and sizable structural programmes. North Macedonia needs to further mobilise sufficient resources to prepare a comprehensive and good quality project pipeline for implementation under future cohesion policy (including the preparation of accompanying technical studies and financial analyses).

North Macedonia is currently gaining a certain level of experience in regional policy and territorial cooperation programming and shared management implementation through its participation in cross-border, transnational, and interregional cooperation programmes, as well as its involvement in the EU Strategy for the Adriatic Ionian region.

By law, **co-financing** is made available at the same time as IPA funding. However, there were cases in the past when Interreg IPA programmes faced co-financing difficulties, which would be problematic for future cohesion policy implementation. In this respect, the system for planning and providing co-financing should be improved.

Regarding **communication**, participation in Interreg IPA programmes provides North Macedonia useful experience for EU cohesion policy communication. Under shared management, specific attention should however be paid to key communication practices: what are the main communication objectives, messages, target audiences, communication channels, budget, indicators and results. Transparency should have a focal role in programme management. In line with the Financial Framework Partnership Agreement, North Macedonia should systematically prepare coherent plans of communication and visibility activities for each IPA programme that would serve as a learning curve and gain of experience.

In addition, further attention will need to be given to strategic communication as means to better programme implementation, evaluation of communication actions and the role of beneficiaries in communicating EU support. North Macedonia's future plans are in line with the current cohesion policy requirements, and ,when well executed, will address important elements towards effective EU funds communication.

c. SUMMARY OF MAIN FINDINGS - PROGRAMMING

North Macedonia is **partially aligned** regarding programming. Its long experience with IPA and Interreg programmes is a good steppingstone for future comprehensive programmes under structural funds, whereas the upcoming multi-annual operational programmes will be the test case in that regard. North Macedonia will need to strengthen the role of the sector working groups as a single tool for policy preparation and coordination, ensuring the maturity of project pipeline and resolve any issues of securing co-financing prior to the start of cohesion programmes.

V. MONITORING AND EVALUATION

a. Country presentation

In accordance with the dedicated Strategy on Balanced Regional Development, an **overarching E-system** is established for the coordination of planning, implementation, monitoring and evaluation of the policy. A new organisational unit in the Ministry of Local Self-Government manages the data from the e-system. The ministries and other state administration institutions that implement programmes/projects of importance for regional development submit quarterly reports on the use of the funds for regional development.

North Macedonia shared its experience in **monitoring and evaluating IPA assistance** components (annual action plans, operational programmes), at three levels – country, programme, and project level. The NIPAC has the overall responsibility for the monitoring at country level, e.g., following up IPA Monitoring Committee conclusions and recommendations, maintaining the digitalised Performance

Assessment Framework, among others. There are currently 581 indicators in the framework, the impact indicators of which are included in national strategies and Strategic Response/IPA-funded programmes.

IPA managing authorities follow the progress of programmes and project implementation, the achievement of indicators, major problems in implementation, as well as follow-up and remedial actions. These institutions report to the NIPAC and monitor via the six Sector Monitoring Committees. The operational conclusions of the committees are published on government websites.

The **Management Information System** is established for monitoring the implementation of IPA Funds at project level and is used by the CFCD and the National Fund/Management Structure, IPA structures from line ministries, final beneficiaries, and auditors. A monitoring system for the sustainability of IPA-funded projects/programmes is also established.

The **monitoring system for cross-border cooperation** (CBC) programmes (IPA-IPA) consists of a monitoring plan, risk assessment, on-the-spot visits and reports, as well as monitoring software for data collection and analysis of efficiency and effectiveness. North Macedonia is a party in three Joint Monitoring Committees for each of the IPA-IPA CBC programmes (chairing the Joint Monitoring Committees (JMC) meetings for the CBC with Serbia and Kosovo*).

The **monitoring system in Interreg IPA programmes** is similar, consisting of an annual work plan, monitoring visits, risk assessments by the risk management group, and progress reporting. Currently, North Macedonia is a party in five Monitoring Committees for each of the Interreg IPA programmes with Member States.

Monitoring Committees include **representatives** of national institutions, EUD representatives or Member States, donors, and CSOs. The intention is to involve more the local and regional partners such as the municipalities and the planning regions under the cohesion policy.

North Macedonia intends to improve the current monitoring system to be able to assume the responsibilities of cohesion policy rules. North Macedonia also makes efforts to improve the capacities of the General Secretariat (GS) to ensure quality control of sector and cross-sector strategies. Additionally, the country plans to introduce a continuous training programme focused on outcome-level reporting in annual reports on the implementation of the ministries' strategic plans and the Government's strategic priorities. North Macedonia will institutionalise the follow up of conclusions and recommendations from Monitoring Committees within a defined implementation timeframe, as this is a common issue presently.

Evaluation functions are organised in a similar manner for all IPA programmes. They are under the direct responsibility of the different management authorities in charge of the respective programmes but follow an evaluation plan prepared in cooperation with the NIPAC and the EU Delegation. North Macedonia recognised the need to improve the evaluation system further – better alignment with the evaluation requirements at the EU level, increased number of evaluations, increased follow up on recommendations as well as better administrative capacity and publicity of evaluation results.

b. Commission assessment

North Macedonia has developed structures and gained some experience in monitoring and evaluation, both within IPA and Interreg programmes. It disposes of some operational systems and tools of monitoring and evaluation of EU programmes as well as an accounting and management information system.

However, on average around 30% of the jointly agreed conclusions at the IPA monitoring committees are implemented. The lack of political steer, the weak interinstitutional coordination, poor reporting from the line institutions to NIPAC's office, and the weak central reporting and monitoring function of the office of the NIPAC negatively affects the timeliness and quality of IPA reports.

The country should institutionalise the follow up of conclusions and recommendations from monitoring committees with a defined implementation time framework. The country should also improve the collection of monitoring data and reporting regardless of the IPA management modality. It should also

increase the number of evaluations and their follow-up rate. As regards the Performance Assessment Framework, the system was supported with EU funds and has the potential to provide information for policy making and implementation. However, indicators' values are not updated by the responsible institutions, which makes the system dysfunctional. The national authorities should ensure regular update of the system to benefit from it. Finally, North Macedonia needs to build on existing administrative capacities and experience for monitoring and evaluation.

The evaluations of the IPA actions are primarily conducted by the Commission services and the EU Delegation in Skopje, involving the relevant national stakeholders. To gain experience, North Macedonia should plan evaluations, in particular for the EU actions implemented under indirect management with beneficiary country and increase the follow up on recommendations as well as the publicity of evaluation results.

In relation to the implementation of EU cohesion policy, North Macedonia will need to set up an integrated management information system which not only combines physical and financial monitoring, but also allows access and contribution to data collection and entry of a broad group of bodies involved in the implementation of operations and final beneficiaries.

C. SUMMARY OF MAIN FINDINGS - MONITORING AND EVALUATION

North Macedonia is **partially aligned** regarding monitoring and evaluation. Whereas it has established operational systems and tools in that regard, North Macedonia needs to ensure higher level of follow-up of findings and recommendations from monitoring and evaluations. Certain gaps in Monitoring and Evaluation administrative capacities need to be equally addressed.

VI. FINANCIAL MANAGEMENT AND CONTROL

a. Country presentation

All **payments** are processed by the CFCD, or by the paying agency in the case of IPARD. All costs are certified by the NAO. Discussions between North Macedonia and the Commission about transition from *ex-ante* to *ex-post* control are ongoing.

The NAO can execute **financial adjustments**, whereas the Commission may apply a procedure for the settlement and acceptance of accounts or mechanisms for financial corrections. North Macedonia has procedures for bridge financing, which constitute a transfer from the state budget as a temporary measure to cover the EU contribution before payment by the Commission. The NAO has full responsibility for refunding the union contribution towards the Commission and reclaiming national co-financing from the one committing irregularities, fraud or corruption or had financial gains from that.

North Macedonia uses a **system for monitoring** the N+3 / N+5 rule and of financial reporting to the EU. There have been several decommitments under IPA I/IPARD I (30%), but no decommitments registered under IPARD II for the past four years and three cases of decommitment under IPA II (in 2022, in 2023 and 2024).

The **accounting system** on an accrual basis is in accordance with the International Accounting Standards for the Public Sector. North Macedonia uses four parallel systems for monitoring and reporting, two of which serve reporting to the Commission.

The Central Harmonisation Unit conducts monitoring of the implementation of the **internal financial control system** on behalf of the Minister of Finance, and issues annual reports. According to the country's statistics, more than 97% of central and local authorities have established a Financial Affairs Units. However, the number of these units, which adopted annual plans for financial management and control, risk management strategy and risk registers, and internal act/procedure/regulation on the implementation of control was rather low (under 60%), notably in the case of local authorities. The implementation of recommendations of internal audit also remained largely under 60% in 2022. As far

as audit is concerned, half of public procurement contracts were audited, within around 30% of which irregularities were found.

North Macedonia's **financial management and control system** is determined by the requirements of the pre-accession instruments. In this context, it had established an operational framework for financial management and control (including audit) under IPA. f 56 audit findings were reported by the Audit Authority for IPA in 2021-2022, but only ten recommendations (18%) were implemented so far. 37 findings were reported on IPARD funds, but only 13 recommendations (35%) were addressed. North Macedonia reported 85 irregularities in 2022, but only one suspected fraud and only five cases of financial impact. Only 21 cases (25%) of these were closed.

The main weaknesses in the management and control system identified by the NAO in 2022, include staff capacities, turnover of managerial staff, delays in implementation of procurement plans, weak planning, and functional weaknesses in internal audit units, among others.

Under the supervision of the NAO, verification visits and on-the-spot checks are organised regularly based on an annual work plan. North Macedonia will initiate a dialogue with the Commission regarding the procedure for calculating financial corrections in case of detected irregularities by OLAF.

b. Commission assessment

North Macedonia is in the process of establishing a stable framework for financial management and control (including audit) for all state expenditure. The functioning of the internal audit system is still weak in certain aspects, such as adopting annual plans for financial management and control, risk management strategy and risk registers, and internal act/procedure/regulation on the implementation of controls. North Macedonia should follow up more systematically on recommendations from internal and external audit. The delay in adopting the new Law on Public Internal Financial Control for already two years is concerning. The efficient implementation of managerial accountability remains a challenge for budget users at central and local levels.

North Macedonia needs to define its financial management and control system (including internal and external audit) for cohesion policy and pay due attention to the separation of functions and the independence of key bodies such as the managing authorities, the Audit Authority, and the SAO.

The single audit arrangements, as set out in article 80 of the Common Provision Regulation (CPR – Regulation (EU) 2021/1060 of the European Parliament and of the Council of 24 June 2021), should be embedded in the legal system and later applied in practice.

C. SUMMARY OF MAIN FINDINGS - FINANCIAL MANAGEMENT AND CONTROL

North Macedonia is **partially aligned** regarding financial management and control. Adopting the new Law on Public Internal Financial Control will pave the way for more robust implementation of the system. More systematic follow-up of recommendations from internal and external audit is also needed.

VII. FIGHT AGAINST CORRUPTION - REGIONAL POLICY AND COORDINATION OF STRUCTURAL INSTRUMENTS

a. Country presentation

North Macedonia has in place several generic laws and strategies concerning corruption and integrity (e.g. Law on Prevention of Corruption and Conflict of Interest, the National strategy and Action Plan for prevention of corruption and conflict of interest 2021-2025). The specific Framework Agreements on Instrument for Pre-accession also containrelevant articles. As regards Chapter 22, North Macedonia considers the capacities of the employees, public procurement, and the efficiency of the internal audit as the highest risks for corruption.

b. Commission assessment

North Macedonia has established a legal, strategic and operation framework on anti-corruption and integrity. However, implementation of measures is still lagging behind. For instance, only 13% of the activities planned for 2023 were implemented in full, 33% are ongoing and 54% have not been implemented in the Action plan of the National Strategy. Some initial trainings were delivered to appointed persons/integrity officers from the institutions, the country should further reinforce staff motivation, retention, and training policies, notably for civil servants managing funds and public procurement. The risk management systems incorporated in the procurement cycle and reporting on possible corrupt practices or irregularities have to be reinforced. Internal audit units should be granted more independence and staffing, whereas institutions should establish better track record of implementation of audit recommendations.

C. SUMMARY OF MAIN FINDINGS – FIGHT AGAINST CORRUPTION

North Macedonia has in place a legal and strategic framework for fighting corruption in the area of regional policy and managing EU funds, but better implementation track record needs to be established. National Strategy for Development and European Integration 2022-2030, recognises fight against corruption as a key priority, whereas new Cross-Cutting Strategy against Corruption and Action-Plan 2023-2030, to tackle prevention, punishment and awareness raising on corruption, is in making. North Macedonia established a network of anti-corruption coordinators, led by the national coordinator – Minister of Justice.

G) CHAPTER 33 – FINANCIAL AND BUDGETARY PROVISIONS

This chapter covers the rules concerning the financial resources necessary for the funding of the EU budget ('own resources'). These resources are made up from so-called traditional own resources from customs duties and sugar levies, which are levied by the Member States on behalf of the EU; a resource based on value-added tax; a resource based on non-recycled plastic packaging waste, and finally, a resource based on each Member State's gross national income. Member States must have appropriate administrative capacity to adequately co-ordinate and ensure the correct calculation, collection, payment and control of their own resources' contributions. The *acquis* in this area is directly binding and does not require transposition into national law.

I. OWN RESSOURCES AND ADMINISTRATIVE INFRASTRUCTURE

I.A. TRADITIONAL OWN RESOURCES

a. Country presentation

North Macedonia set out its state of play concerning traditional resources. North Macedonia's alignment with EU customs legislation, including the operational set-up of the customs administration and its implementing capacity; existing IT infrastructure as well as current customs rules and procedures in place. (*See cluster 3 chapter 29 - Customs Union for additional customs issues*).

North Macedonia focused specifically on the course of the customs procedure and the collection of customs debt. The presentation also set out the main areas of future work, and the timeline for aligning with the *acquis* and with EU practice and procedures.

b. Commission assessment

North Macedonia is **partially aligned** with the EU *acquis* on traditional own resources and in terms of process and practice. Further work is required to ensure full alignment and to strengthen the capacity of the administration in the areas of in the areas of traditional own resources, including customs.

I.B. VAT OWN RESOURCE

a. Country presentation

North Macedonia set out its legal framework related to value added tax which is **partially aligned** with the *acquis*. Areas of non-alignment concern in particular: new means of transport; territorial scope; intra - Community *acquis*ition of goods; distance sales; keeping records of e-commerce cross-border payments; and small businesses. North Macedonia set out the structure of the VAT administration, the resources available and its implementing procedures. A number of areas for future work have been identified, in particular related to the Integrated Tax Information System and managing risk.

b. Commission assessment

North Macedonia has a VAT system. North Macedonia understands that the VAT system is different from the VAT based resource itself. The distinction is important as the resource may take into account elements that are not VAT. For example, interest payments or collection fees in circumstances where collection is contracted out. North Macedonia has a **low level of alignment** with the *acquis* in this area. Overall further work is required to align with the *acquis* and to strengthen the administrative capacity to manage the VAT based resource.

I.C. GNI Own Resource

a. Country presentation

North Macedonia set out its overall legislative framework and the institutional structure responsible for its legislation. Preparations have been ongoing for a number of years with the support of Eurostat and North Macedonia considers it has a high level of alignment, with a solid methodology for the compilation of Gross Domestic Product (GDP). The focus of efforts in the future will be to improve the work on transition from GDP to Gross National Income (GNI); update the GNI Inventory and enlarge as well as improve the regular transmission of data to Eurostat.

b. Commission assessment

North Macedonia's legislation in the area of GNI is assessed *under Cluster 1 – Chapter 18*. Further alignment is necessary across most of the relevant *acquis* as is strengthening administrative capacities, including in statistics, and ensuring effective co-ordination between branches of the administration.

I.D. OWN RESOURCES BASED ON NON-RECYCLED PLASTIC PACKAGING WASTE

a. Country presentation

North Macedonia has established its legislation on waste and packaging management. It has also established the current institutional structure and implementation. There was a special focus on waste statistics, and the process of harmonizing national definitions with EU definitions has already been completed. A timeline was set for future work on harmonization with the EU acquis and practice, in the area of extended producer responsibility, which includes packaging waste, which was implemented within the framework of a twinning project, and a draft regulation has been prepared for which an inter-ministerial consultation will follow. It is expected to be adopted by Q1 of 2026.

b. Commission assessment

North Macedonia's has specific environmental legislation in place. North Macedonia grasps the complexity of implementing this particular own resource. There is **low level of alignment** with the *acquis* in the area of own resources. For the future further alignment but especially the strengthening of statistical capacity is required.

I.E. SUMMARY OF FINDINGS − OWN RESOURCES AND ADMINISTRATIVE CAPACITY

North Macedonia has a **low level of alignment** with the EU *acquis* in own resources and administrative capacity. North Macedonia needs to continue alignment and preparations under the respective *acquis* areas of: VAT Customs and Excise, Environment, and statistics (*see cluster 1chapter 18 -Statistics and cluster 3 chapter 16 Taxation and chapter 29 Customs Union)*. There is a particular need to develop the necessary statistical capacity. In pursuing this objective, North Macedonia needs to take into account the on-going reform of the EU budget and ensure that the work undertaken.

North Macedonia should develop the necessary internal co-ordination mechanisms between the services involved in the management of own resources.

II. FIGHT AGAINST CORRUPTION - FINANCIAL AND BUDGETARY PROVISIONS

a. Country presentation

The fight against corruption is regulated by the national legislation, namely the Law on prevention of corruption and conflict of interests (Official Gazette No. 12/19), Law on protection of whistle-blowers (Official Gazette No. 196/15 and 35/18), Rulebook on protected internal whistleblowing in public sector institutions and Rulebook on protected external whistleblowing (Official Gazette No. 46/19), Law on the Customs Administration (Official Gazette No. 46/04... 122/21 (Article 10, 51-a, 60, 72, 73-a).

North Macedonia has in place a comprehensive 2021-2025 National Strategy on prevention of corruption and conflict of interest and a corresponding Action Plan for its implementation. The measures of the strategy are also covering the activities on prevention and fighting the corruption in the Public Revenue Office and Customs Office. Moreover, Customs Office has in place its own anti-corruption strategy: Strategy on integrity and fight against corruption in the Customs Administration of North Macedonia. The Public Revenue Office has in place an annual Action plan which foresees specific measures for fighting and preventing the corruption in the PRO.

b. Commission assessment

The rule of law and tackling corruption are crucial for EU membership. Recognising this as a key EU priority, North Macedonia needs to prioritise and implement the outstanding recommendation, and to ensure an ongoing dialogue among all bodies to address these issues.

North Macedonia has the institutions in place to tackle corruption in the budget.

c. SUMMARY OF FINDINGS – ANTI-CORRUPTION MEASURES

North Macedonia has a wide range of anti-corruption measures in place.